

2006
ANNUAL REPORT

Reaching Out




USAC
Universal Service Administrative Company

Helping Keep Americans Connected

Providing Access to Communications Technology

The Universal Service Fund (USF) provides funding for four support programs—High Cost, Low Income, Rural Health Care, and Schools and Libraries. The USF continues to bring access to communications technology to millions of Americans. This access has made a real difference for citizens and communities across this country. The USF is funded by contributions from providers of telecommunications and telecommunications services, including wireless and interconnected Voice-over-Internet Protocol (VoIP) providers. USAC administers the USF at the direction of the FCC.

About

USAC:

The Universal Service Administrative Company (USAC) is an independent, not-for-profit corporation. The Federal Communications Commission (FCC) provides oversight to USAC's actions as administrator of the Universal Service Fund (USF) and the support programs through its rules, regulations, and guidance. USAC's purpose is to ensure that the USF and the support programs are administered efficiently and effectively in accordance with FCC oversight. Working closely with the FCC and our stakeholders, USAC has helped take universal service from a vision to reality.

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In 2006, USAC worked hard to extend its reach and improve its customer service.

Whether it's for schools and libraries, rural health care providers, telecommunications carriers and other service providers, consumers, or the Federal Communications Commission (FCC or Commission), the Universal Service Administrative Company (USAC) is all about customer service. From coast to coast, from Alaska and Hawaii to the U.S. territories, USAC strives to ensure that the Universal Service Fund (USF) is administered in the most effective and efficient manner possible, all the while continually improving service to our customers.

USAC also worked to improve administrative procedures and to enhance the information provided to consumers. In 2006, USAC focused on better educating program participants and other key

stakeholders about program rules and requirements so that applicants and service providers in all four programs would be successful. USAC continued to solicit input on how to improve customer service and, once again, acknowledged that our stakeholder group is one of our best sources of ideas for improvements to our administration of the support programs. Informed by these suggestions, USAC implemented more online filing options, sent targeted newsletters, held service provider conference calls, and conducted Schools and Libraries Program training sessions across the country.



Serving our Customers to Help Keep Americans Connected

“USAC focused on better educating program participants and other key stakeholders about program rules and requirements so that applicants and service providers in all four [USF] programs would be successful.”

USAC implemented significant program changes in 2006 at the direction of the FCC. For example, in 2006 the Commission remanded hundreds of appeals for USAC to review Schools and Libraries Program applications for ministerial and clerical errors and for other reasons. In June 2006, the FCC changed the USF contribution methodology by raising the wireless “safe harbor” and requiring interconnected Voice-over-Internet Protocol (VoIP) providers to contribute for the first time beginning in the fourth quarter of 2006. USAC notified all current contributors and prospective contributors of the changes and successfully implemented the new rules.

LETTER FROM THE CHAIRMAN OF THE BOARD

As my second year as Chairman concludes, I am pleased to report on USAC's many accomplishments in 2006. Through the efforts of my colleagues on the Board and the USAC staff, USAC has improved its internal processes, has increased its outreach and education efforts to benefit all stakeholders, and has worked very closely with the Federal Communications Commission and its expert staff to improve the administration of the Universal Service Fund and the four USF programs.

In 2006, USAC took a close look at itself as an organization and to where it was heading. USAC focused on the experiences of the program participants and how it could improve the process for contributors, applicants, and other program beneficiaries. USAC also worked closely with the FCC to foster stronger ties. A prime example of this closer working relationship was the launch in late 2006 of a large-scale audit program in conjunction with the FCC Inspector General. USAC also successfully implemented the many changes to the programs made by the FCC in 2006.

“USAC set its sights on improving its operations by looking at its information technology infrastructure to make it more flexible...”

USAC set its sights on improving its operations by looking at its information technology infrastructure to make it more flexible and robust. In addition, USAC established a governance process for information technology efforts. The result was faster processing of applications, invoices, and billing collections from contributors. In addition, USAC made sure it communicated these and other improvements through newsletters, training sessions, and participation in conferences around the country. USAC also strengthened operations by revamping its procurement policies and procedures and obtaining an automated purchasing system. These actions will improve the management, monitoring, and internal control of USAC's procurement process.



Dr. Brian L. Talbott
Chairman of the Board

USAC staff and program participants also benefited from the expansion of the site visit initiative to all four USF programs in late 2006 and into 2007. Data gathered from these visits is used to target communications to stakeholders and to further improve USAC's processes as well as help program participants succeed.

I continue to be impressed by my colleagues on the Board. Six new members added enthusiasm, experience, and thoughtful consideration to the many changes and challenges confronting USAC. The ability of the Board to quickly understand the complexities of the programs and the ever-changing priorities facing USAC contributed to making 2006 a successful year. In addition to my fellow Board members, I would like to thank Scott Barash, who served as Acting Chief Executive Officer throughout 2006, as well as the entire USAC staff for its dedication and hard work. I would also like to thank the FCC and its staff for its support and guidance.

I enjoy serving in this position and am proud of everything USAC accomplished in 2006. Looking forward, USAC is in an excellent position to build on the many achievements of 2006. I look forward to another successful year in 2007.

In 2006, USAC looked both inward, to improve how we do business, and outward, to improve how we communicate with our customers. This annual report highlights USAC's efforts and accomplishments for 2006 and reports on its financial standing.

LETTER FROM THE ACTING CHIEF EXECUTIVE OFFICER

USAC significantly increased its outreach and communications efforts in 2006 by creating an External Relations Division, expanding our successful site visit initiative to cover all four universal service programs, and holding more Schools and Libraries Program training sessions than ever before. We expect to continue to improve USAC's responsiveness to its many stakeholders and intend to become even better in 2007.

USAC made many changes to its internal operations, including improving information technology platforms and systems so that the end user experience is more satisfying and will lead to more success for program participants. Systems improvements allowed USAC to issue funding commitments to school and library applicants earlier than in prior years and increased efficiency in processing invoices and appeals. Our efforts continue and USAC constantly strives to build on its success. We are proud of our accomplishments in 2006.

USAC was called upon to implement many changes to the universal service programs in 2006. The FCC remanded many Schools and Libraries Program appeals with guidance to significantly change how we handle requests for funding. USAC also quickly implemented changes to the contribution methodology that changed the obligations of wireless carriers and required interconnected Voice-over-Internet Protocol providers to begin contributing to the USF. In conjunction with the FCC's Inspector General, USAC has initiated a large-scale audit program intended to assist the Commission in fulfilling its responsibilities under the Improper Payments Information Act. This audit program is expected to assess compliance by participants in the universal service programs as well as contributors to the USF.



D. Scott Barash
Acting Chief
Executive Officer

In 2006, USAC welcomed six new members to its Board of Directors. I have learned a great deal from our new Board members and am excited about continuing to work with the entire Board to ensure that USAC is administering the USF in the most efficient and effective manner possible. I am proud to serve as USAC's Acting Chief Executive Officer and appreciate the confidence the Board of Directors has expressed toward me and USAC's entire staff. I especially want to thank Dr. Talbott for his invaluable service as USAC's Board Chair in 2005 and 2006. I look forward to continuing to work with Dr. Talbott as a member of the USAC Board.

“In 2006, USAC looked both inward, to improve how we do business, and outward, to improve how we communicate with our customers.”

USAC is maturing as an organization. Our experience in integrating the four universal service programs over the past eight years and responding to constant regulatory and industry changes continually provides us with new challenges and opportunities. We expect that 2007 will be no different and that we will be called upon to implement new initiatives and changes to program operations. We will faithfully continue to deliver the benefits of the universal service programs in the manner intended by Congress and the Commission.

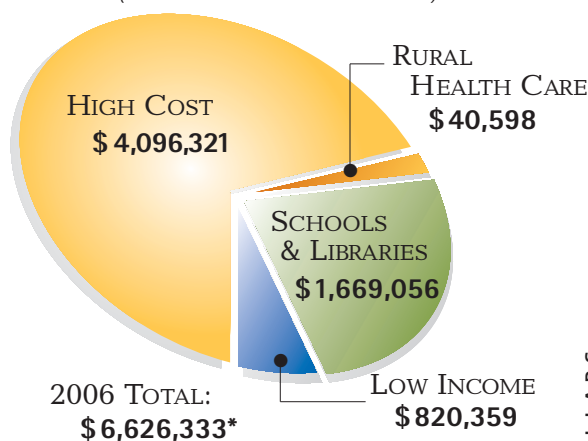
USAC administers the USF and manages the four universal service support programs—

High Cost, Low Income, Rural Health Care, and Schools and Libraries—as required by the 1996 Telecommunications Act and regulations and orders issued by the FCC. Communities across the country—remote or rural areas, low-income

neighborhoods, rural health care providers, public and private schools and public libraries—are eligible to receive benefits from one or more of the programs.

The USF Provides Affordable Access to Telecommunications Services

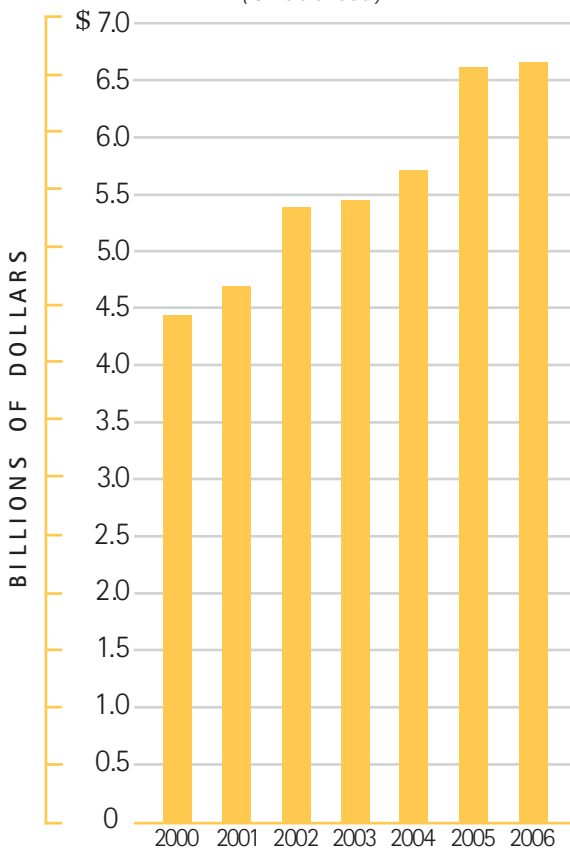
Calendar Year
Approved Disbursements by Program
As of December 31, 2006
(Unaudited · in thousands)



* Numbers may not add due to rounding.

“USAC understands that the resources at its disposal belong to the USF and its recipients. We are faithful to the purpose for which those resources are to be used and strive to manage them in a manner that brings maximum benefit to all stakeholders.”

Overall USF Disbursements
(Unaudited)



Source: USAC FCC Comments filed October 18, 2005 in FCC Docket No. 96-45. 2006 data based on USAC 2006 unaudited financial data.

UNIVERSAL SERVICE Support PROGRAMS

The High Cost Program ensures that consumers across the country have access to and pay rates for telecommunications services that are reasonably comparable to those services provided and rates paid in urban areas.

The Low Income Program, commonly known as Lifeline and Link Up, helps eligible low-income consumers establish and maintain telephone service by discounting services provided by local telephone companies.

The Rural Health Care Program provides reduced rates to rural health care providers for telecommunications and Internet services necessary for the provision of health care.

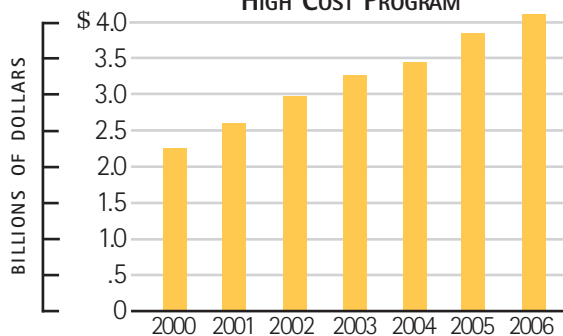
The Schools and Libraries Program provides discounts to help schools and libraries in every state and territory receive affordable telecommunications and Internet access.

USAC Administrative Costs (Unaudited)

YEAR	ADMINISTRATIVE EXPENSES	% OF TOTAL DISBURSEMENTS
2000	\$43,384,000	0.97%
2001	\$39,284,000	0.82%
2002	\$46,192,000	0.85%
2003	\$58,791,000	1.07%
2004	\$67,349,000	1.12%
2005	\$85,359,000	1.29%
2006	\$89,438,000	1.35%

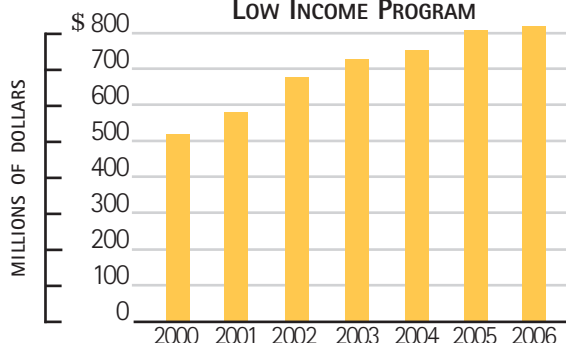
Source: USAC FCC Comments filed October 18, 2005 in FCC Docket No. 96-45. 2006 data based on USAC 2006 unaudited financial data.

HIGH COST PROGRAM

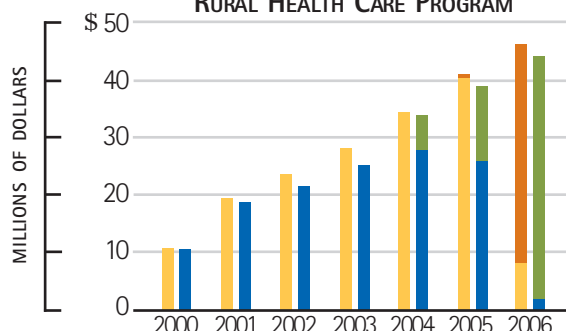


Charts shown for High Cost and Low Income Programs represent unaudited disbursements by Calendar Year, as of December 31, 2006.

LOW INCOME PROGRAM

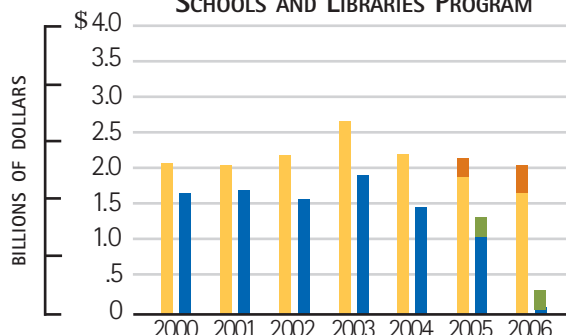


RURAL HEALTH CARE PROGRAM



Unaudited commitments by Funding Year, as of December 31, 2006
Unaudited disbursements by Funding Year, as of December 31, 2006
Unaudited projected commitments (based on USAC historical data as of January 2007)
Unaudited projected disbursements (based on USAC historical data as of January 2007)
Note: A Funding Year runs from July 1 to June 30.

SCHOOLS AND LIBRARIES PROGRAM



Helping Bring High-Speed

Connectivity to Rural America



THE HIGH COST PROGRAM

“ *High Cost support is needed by small, rural companies like mine. Replacing the physical plant serving these remote customers without High Cost USF support would likely come close to bankrupting the company.* ”

Tom Riley
Executive Vice President
Chickasaw Telephone Co.

In 2006, USAC was active in providing great benefit to recipients of the High Cost Program.

For example, USAC developed an Interstate Access Support (IAS) True-Up Statement, which gives recipient carriers better insight into the calculation and disbursement of support for this component of the High Cost Program. The first IAS statements were sent in early June and are now sent quarterly. Similar true-up statements are being considered for other High Cost components.

In 2006, USAC also enhanced its information systems supporting the High Cost Program to provide a more robust environment for data storage and retrieval as well as greater capacity to process payment adjustments, adapt to program modifications, and compile current and historical reports.

In addition, USAC made available a Filing Requirements and Deadlines Tool, which eligible telecommunications carriers (ETCs) can use to search for deadline information, filing requirements, and necessary forms. By selecting criteria, the tool will retrieve the relevant data and links to any forms or sample letters needed as well as the time frame of the data to be reported.

In 2006, USAC implemented improvements designed to make it easier for ETCs to provide, and consumers to find, information about the Low Income Program.

For example, USAC presented seminars to industry participants in conjunction with telecommunications associations and service providers. Conducting these seminars advanced USAC's ongoing effort to locate and identify eligible participants for the Low Income Program, which remains a high priority at USAC.

In addition, comprehensive Low Income Program disbursement data was made available to ETCs receiving Low Income support for the first time. USAC implemented its Low Income Disbursement Data tool, which provides both projection and true-up data and makes it easier for ETCs to reconcile disbursements against the amount of support claimed.

USAC also automated some of its 2006 Lifeline verification and certification processes to enable ETCs, for example, to check receipts of certifications online.

In December 2006, USAC rolled out an update to its low-income consumer website, www.lifelinesupport.org, to increase information available to consumers about eligibility criteria and the application process for Lifeline and Link Up. The site enhancements included links to each state's Lifeline Program website, a more user-friendly layout for each company's Lifeline information page, and a new online tool for ETCs to submit and update their Lifeline and Link Up information.

THE LOW INCOME PROGRAM

“The recent changes to the USAC website are very useful for reconciling our support amounts. Staff at USAC, both in the D.C. and New Jersey offices, are extremely conscientious and knowledgeable. They always have time to answer our questions.”

Suzie Rao
Regulatory Counsel
Alltel Communications, Inc.

Improving the Pathway to Clear Communication



“Through support from the Rural Health Care Program, we have been able to provide quality specialty health care to underserved and remote areas of Virginia that would not be able to access it otherwise.”

Eugene Sullivan

Director

*Office of Telemedicine
University of Virginia*

Outreach for the Rural Health Care Program includes regularly scheduled teleconferences and attendance at events targeted to national meetings of rural health care providers such as the National Rural Health Association, the Indian Health Service, and the American Telemedicine Association.

USAC is responsible for reviewing and processing eligible health care provider packets to ensure compliance with program rules and to issue commitments for program support. Over 5,400 applications for service support were filed in Funding Year 2005 (FY2005) and approximately 2,000 were filed in FY2006 through December 31, 2006. Program participation has increased about 20% each funding year since the start of the program.



Providing for Health Care Providers

THE RURAL HEALTH CARE PROGRAM

In 2006, USAC began to issue Rural Health Care Program funding commitments under the support provision adopted by the FCC following Hurricane Katrina. USAC has committed \$1.92 million to 165 affected health care providers and \$495,500 was invoiced and disbursed as of December 31, 2006. An additional \$300,000 in Hurricane Katrina commitment requests from a dozen health care providers is under review. In September 2006, the FCC established a pilot program to help public and non-profit health care providers build state and region-wide broadband networks dedicated to the provision of health care services, and provided for connecting those networks to Internet 2, or National Lambda Rail, dedicated nationwide backbone networks used by research universities and government, or to the public Internet. USAC is working with FCC staff to prepare for this program.



Training for Success

USAC expanded its outreach and program training in 2006 by conducting seven training sessions around the country

as well as a video conference for participants from U.S. territories such as Guam and the Northern Mariana Islands. The theme for the 2006 training sessions—*Training for Success*—was designed to help applicants file their applications successfully. Over 1,400 applicants and service providers attended the sessions and USAC received high marks from participants.

USAC continued to automate its application submission processes in 2006. Improvements were made to the applicant Personal Identification Number (PIN) system and the capability for online submission of products and services. The result was an easier application process and a reduction of tens of thousands of paper submissions. Another major improvement was in the area of invoice payments to the thousands of vendors that participate in the Schools and Libraries Program. USAC receives approximately 8,000 invoices each month, and the average time to process an invoice line item dropped from 31 days in August 2005 to just seven days in August 2006.

USAC also nearly doubled the number of appeals decisions issued each month, which resulted in a reduction of the time applicants and service providers waited for a decision. A significant number of appeals decisions were issued as a result of FCC actions to allow applicants' ministerial and clerical errors to be corrected. This groundbreaking decision was welcome news for applicants and service providers and helped to reduce the number of appeals associated with minor errors.

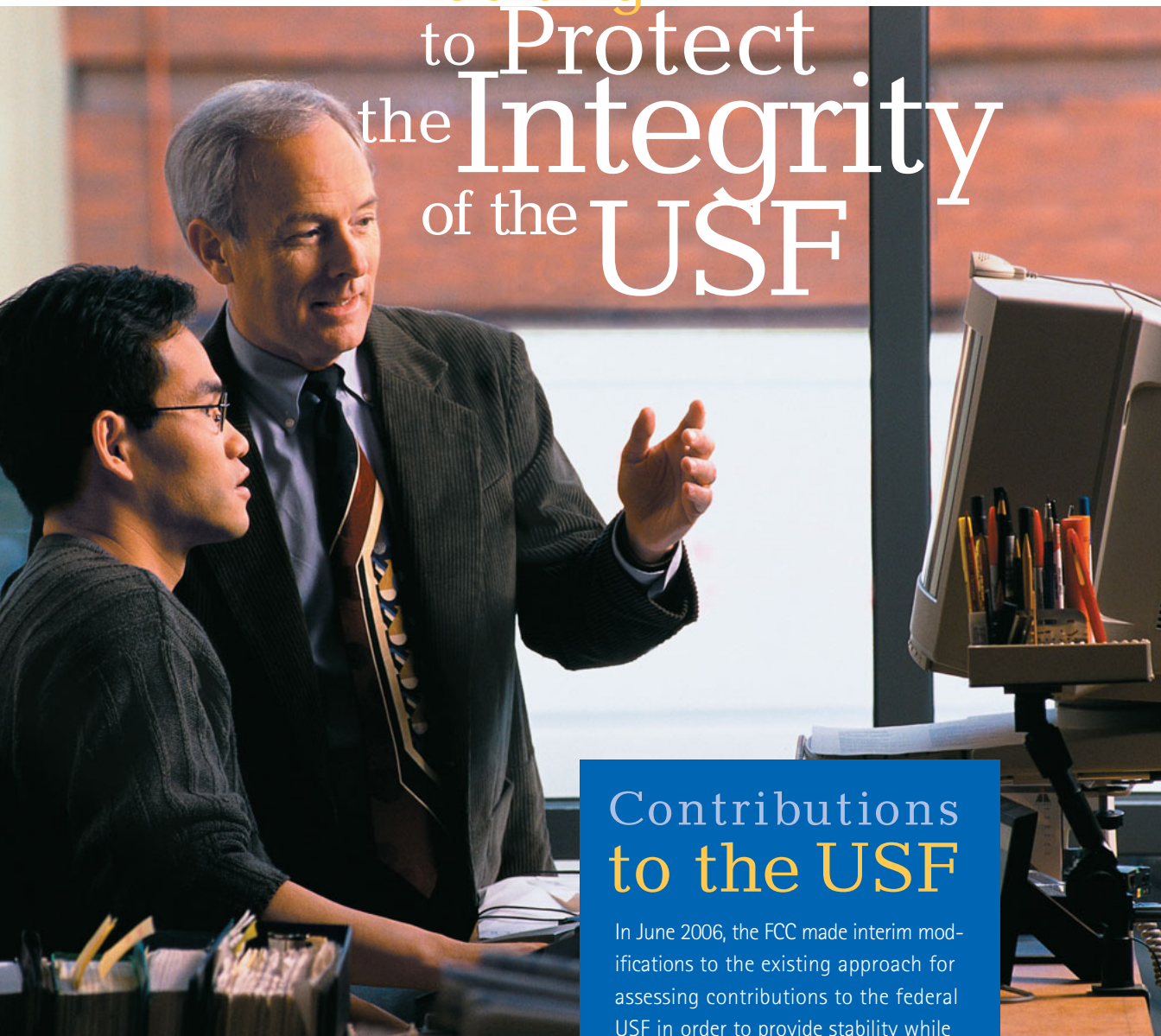
THE SCHOOLS AND LIBRARIES PROGRAM

“ Incredible! I must say, the online BEAR* form has saved me time and aggravation. I used to think how hard it was to fill these forms out. But, with this new feature, I can say you are definitely looking out for us. Thank you so much. ”

James Depoti
IT Director
Mid Valley School District
Throop, PA

*Billed Entity Applicant Reimbursement

Comprehensive Auditing to Protect the Integrity of the USF



Contributions to the USF

In June 2006, the FCC made interim modifications to the existing approach for assessing contributions to the federal USF in order to provide stability while it examined long-term options. The FCC raised the interim wireless safe harbor from 28.5% to 37.1% and required interconnected Voice-over-Internet Protocol (VoIP) providers to contribute to the USF based on 64.9% of their revenues. USAC implemented the order in time for contributors' quarterly filings due August 1, 2006.

In 2006, USAC began a large-scale beneficiary audit program in conjunction with the FCC Office of Inspector General (OIG) in order to assist the FCC in fulfilling its obligations related to the Improper Payments Information Act (IPIA). Contributor compliance audits were also initiated in 2006. USAC expects to conduct more than 450 audits of program beneficiaries and contributors by mid-2007.

AUDIT PROGRAMS

To help ensure these audits are conducted fairly and effectively, USAC engaged nine different firms to perform the audits, along with dedicated project management and quality assurance teams. USAC's Internal Audit Division began working with programmatic personnel and USAC's legal staff to develop auditor training programs.

“USAC has developed a system of internal controls and provides a whistleblower hotline for reporting allegations of misapplied program funds or potential program violations.”

USAC must do all it can to protect the integrity of the USF and the universal service programs. USAC has developed a system of internal controls and provides a whistleblower hotline for reporting allegations of misapplied program funds or potential program violations. USAC also conducts random and targeted audits of participants in the programs as well as contributors to the USF.

USF Collections

USAC continually works to ensure that all carriers remain current in their USF contribution requirements. USAC monitors carriers to ensure compliance with filing and payment deadlines. USAC works closely with the FCC to address carriers that are delinquent in their revenue reporting or contribution requirements. Among other activities, USAC provides the documentation required to support the FCC in its enforcement, compliance, and collection efforts.



THE SITE VISIT INITIATIVE

USAC expanded the site visit initiative from the Schools and Libraries Program to the other USF programs in 2006.

Site visits have provided USAC with vital information on program compliance, how participants interact with the programs, and feedback on what USAC can do to improve the administration of the programs. USAC has made this vital information available in the form of website content, tip sheets, and newsletter articles.

Also in 2006, USAC developed a site visit training initiative geared specifically toward applicants in the Schools and Libraries Program that have repeatedly struggled with the application process and program rules with the goal of increasing properly submitted applications.

USAC developed and implemented an automated post-site visit reporting tool in September 2006 to enhance USAC's ability to generate standard and ad-hoc reports. This new tool gives USAC the ability to better analyze the vast amount of data the site visits are generating for important trends and patterns, which will

Delivering the Benefits of Universal Service to All Customers

provide more visibility around program performance, issues, and improvement opportunities.

Site visits have provided USAC with a better understanding of where applicants and service providers have difficulties and how USAC can proactively help applicants through the application process. USAC is providing targeted and specific outreach, and those efforts have greatly benefited from the data gathered during site visits.

Schools & Libraries Commitments by Rural/Urban Type Funding Year 2006

(unaudited · in thousands)

TYPE	APPLICATIONS FUNDED	COMMITMENTS	% OF APPS.	% OF TOTAL
URBAN	7,022	\$ 127,564	22.68%	7.77%
RURAL	4,626	\$ 48,445	14.94%	2.95%
N/A *	19,314	\$1,466,091	62.38%	89.28%
TOTAL	30,962	\$1,642,100	100.00%	100.00%

*Note: "N/A" applies to either FCC Forms 471 that did not include this information, or to FCC Forms 471 shared by both rural and urban entities (that therefore could not be classified).

High Cost Study Areas by Category 2006 - (Unaudited)

	INCUMBENT CARRIERS					Competitor Study Areas*	Total Study Areas
	RATE-OF-RETURN CARRIERS						
	Cost Company	Average Schedule	Total	Price Cap	Total ILEC		
RURAL	758	491	1,249	105	1,354	223	1,577
NON-RURAL	4	1	5	80	85	196	281
TOTAL	762	492	1,254	185	1,439	419	1,858

Note: *Competitor count reflects some competitive ETCs that serve in both rural and non-rural study areas and are counted separately in each category.



Improving Information Systems to Make Online Filing Easier



FCC ORDERS Now Available At: www.usac.org

In 2006, USAC posted major FCC orders and other documents that deal with USAC and the Universal Service Fund. The orders are located in the "About USAC" section of the USAC website. The documents are listed in chronological order and are linked by the official FCC number (e.g., FCC 06-144, FCC 06-94, etc.).

The FCC orders page contains links to documents by year, or you can view major FCC orders from 1997 through 2006. Some of the FCC orders available cover contributions, reporting revenues, each of the support programs, and FCC eligible telecommunications carrier designations.

USAC has a dedicated Information Technology (IT) staff that continually works on improving USAC's internal operations and making USAC's customer-facing applications more efficient and easier to use.

This trend continued in 2006 with the creation of online bulk submission for FCC Form 499-Q (*Telecommunications Reporting Worksheet*), based largely on requests from contributors to the USF. Because of the success of this effort, USAC anticipates implementing bulk submission capability for FCC Forms 499-A and 498. USAC continues to look for ways to increase online filing of program forms.

USAC's IT team also created an online form to collect Congressional contact information that is used to notify members about Schools and Libraries Program funding decisions via e-mail instead of fax. This capability reduced expenses associated with faxing and provides information to Congress in a professional format, with increased functionality and faster delivery.

INFORMATION TECHNOLOGY IMPROVEMENTS

“USAC's IT team also created an online form to collect Congressional contact information...This capability reduced expenses associated with faxing and provides information...with increased functionality and faster delivery.”

In addition, USAC unveiled two new online tools in 2006 for School and Libraries Program beneficiaries: a two-in-five tool to assist applicants in complying with the two-in-five year rule limiting internal connections funding and a new online FCC Form 472 (*Billed Entity Applicant Reimbursement Form*). Both of these have received favorable feedback.

Assessment of USAC Contractors

CONTRACTOR/VENDOR	DESCRIPTION OF WORK	PROCUREMENT METHOD
BearingPoint, Inc.	Site Visits	Competitive Bid
KPMG LLP	Audits	Competitive Bid
LaSalle Bank Corp.	Banking Services	Competitive Bid
Solix, Inc.	Schools, Libraries & Rural Health Care Support	Competitive Bid
Telcordia Technologies, Inc.	High Cost & Low Income Support	Competitive Bid

In 2006, USAC contracted with BearingPoint, Inc.; KPMG LLP; LaSalle Bank Corp.; Solix, Inc.; and Telcordia Technologies, Inc. for provision of major services associated with managing the USF and the universal service programs. All performed the tasks associated with their respective contracts in a satisfactory manner.

HURRICANE KATRINA USF RESPONSE

On October 14, 2005, the FCC released an order that provided immediate steps to assist the victims of Hurricane Katrina. The order modified the USF program rules to more effectively target support to the disaster area and to people affected by Hurricane Katrina.

In the Low Income Program, the FCC adopted Lifeline rules to provide households eligible for individual housing assistance under Federal Emergency Management Agency rules with temporary wireless service. The FCC also adopted Link Up rules to help pay

the costs of reconnecting households to the telecommunications network. As of December 31, 2006, USAC disbursed \$14,273,260 in Hurricane Katrina Low Income support to 139 study areas in 43 states.

In the Rural Health Care Program, USAC received 271 Forms 465 from the affected areas and 296 requests for support. As of December 31, 2006, USAC had processed 165 of these applications and had committed nearly \$1.92 million in support for Hurricane Katrina relief. USAC expects to commit up to another \$300,000 when all applications are completed.

In the Schools and Libraries Program, USAC issued final funding commitments for Funding Year 2005 (FY2005) Hurricane Katrina special window applications

totaling nearly \$9.8 million on 57 certified applications. In addition, USAC provided funding commitments of nearly \$1.95 million on 112 regular FY2005 applications that sought a greater discount. For FY2006, USAC funding commitments totaled \$265,782 on 17 certified applications from applicants directly affected by Hurricane Katrina. An additional four certified applications with current dollars totaling \$325,404 are under review.



Service provider participation continues to be positive and competitive.

Currently, there are over 21,000 service provider identification numbers (SPINs)—the nine digit number assigned to service providers participating in the Universal Service Fund programs—equating to more than 6,500 service providers that actively participate in the support programs. These service providers include local and interstate telecommunications companies, Internet Service Providers (ISPs), and various internal connections contractors.

Service Provider Participation

Program	Service Providers
HIGH COST	1,858 eligible telecommunications carriers
LOW INCOME	1,685 eligible telecommunications carriers
RURAL HEALTH CARE	411 service providers* (telecom and Internet access)
SCHOOLS AND LIBRARIES	4,188 service and equipment providers*

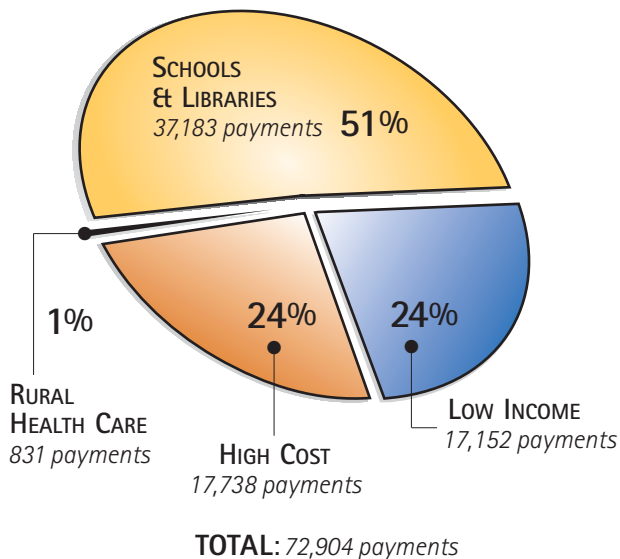
Note: Unaudited as of December 31, 2006. *Based on receipt of invoice payment in 2006.

MANAGEMENT DISCUSSION AND ANALYSIS

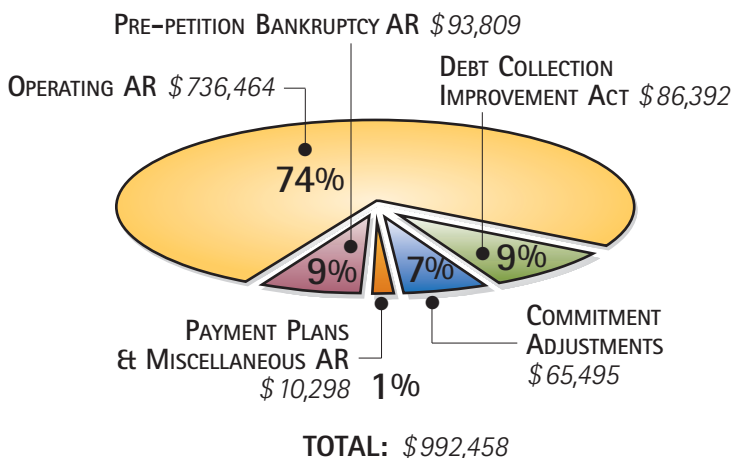
The FCC, in two orders in CC Docket Nos. 96-45 and 97-21, released May 8, 1997 and November 20, 1998, respectively, determined that the Universal Service Administrative Company (USAC) should serve as the permanent administrator of the Universal Service Fund (USF) and the high cost, low income, rural health care, and schools and libraries universal service support programs, collectively referred to as the "Support Programs," established pursuant to Section 254 of the Communications Act of 1934, as amended. USAC was incorporated as an independent not-for-profit company in 1997. The USAC Board of Directors consists of independent directors representing a cross-section of telecommunications industry representatives who are stakeholders in the USF.

The USF and the Support Programs exist to achieve the goals of Section 254 by promoting the availability of quality services at just, reasonable, and affordable rates; increasing access to advanced telecommunications services throughout the nation; advancing the availability of such services to all consumers, including those in low-income, rural, insular, and high-cost areas at rates that are reasonably comparable to those charged in urban areas; and providing schools, health care providers, and libraries access to advanced telecommunications services.

2006 USF Payments by Type (Unaudited)



Accounts Receivable by Receivable Type (Unaudited · in thousands)



At December 31, 2006, Accounts Receivable accounted for 22% of total assets, up from 17% at December 31, 2005. The balance in Accounts Receivable of \$992,458 is a 26.9% increase over the December 31, 2005 Accounts Receivable balance of \$781,808. The chart above represents the different components of Accounts Receivable at December 31, 2006.

The mission of USAC is to efficiently and effectively administer the USF and the Support Programs in accordance with FCC oversight by:

- Collecting and disbursing funds
- Ensuring fund integrity and accountability
- Communicating with stakeholders

USAC performs billing, collection, and disbursement functions for all of the Support Programs. USAC also collects information regarding contributing entities and end-user telecommunications revenues, and submits projections of demand, administrative expenses for the Support Programs, and quarterly universal service contribution data to the FCC.

The functions of USAC also include, but are not limited to: development of applications and associated instructions as needed for the Support Programs; administering the application process to ensure compliance with FCC rules and regulations; creating and maintaining a website and related operational

MANAGEMENT DISCUSSION AND ANALYSIS

infrastructure for such processes; performing outreach and public education functions; authorizing audits of telecommunications carriers, schools, libraries, and rural health care providers; and development and implementation of other functions unique to the Support Programs.

Funds collected by USAC from required contributors to the USF are restricted as to their intended use related to the Support Programs discussed above. Accordingly, such funds have been reflected as assets held for the Federal USF and liabilities related to assets held for the Federal USF in the accompanying statements of financial position. Available funds are maintained and invested by USAC. Unaudited financial data for 2006 have been presented for comparative and discussion purposes only.

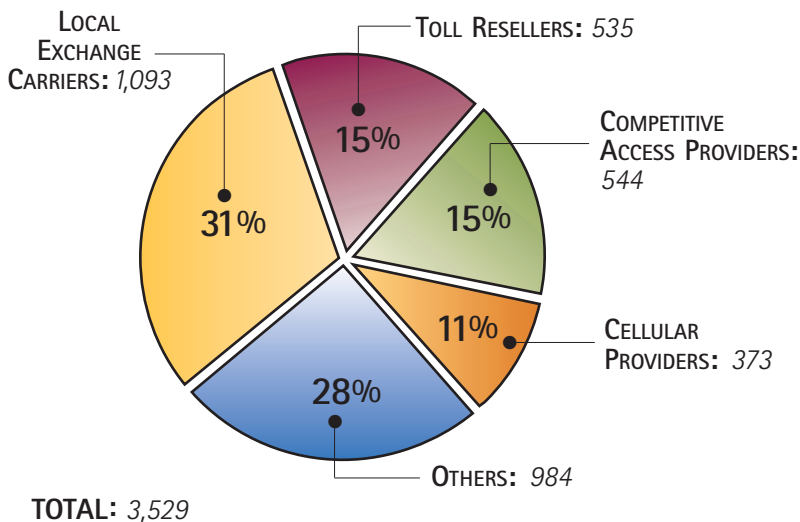
OVERVIEW OF FINANCIAL DATA

The accompanying unaudited financial statements and tables are the responsibility of USAC management and reflect all necessary adjustments and reclassifications that are necessary for fair presentation of the period presented. The results for the year ended December 31, 2006 are not considered to be final until the 2006 financial statement audit is completed by our independent auditors. These unaudited financial statements and tables should be used in conjunction with the audited financial statements and the notes thereto for the years ended December 31, 2005 and 2004 included herein.

Expenditures by the USF have continued to grow. In continuing to serve its mission, USAC has been growing as a company. Over the past three years, USAC increased its staff size to meet the increasing demands of administering the USF and the Support Programs. For the years ended December 31, 2004 and 2005, USAC employed a total of 118 and 143 employees, respectively, for an increase of 21%. At December 31, 2006, employees totaled 164, for an increase of 15% over 2005. This staffing increase is due, in large part, to expanded audit and Information Technology (IT) initiatives; the expansion of the external relations team to coordinate education and communication efforts across the programs; and the addition of an experienced purchasing manager to centralize and coordinate USAC's procurement activities, thereby making significant improvements to the procurement process in 2006.

2006 Average Monthly Invoices by Primary Contributor Type

(Unaudited)



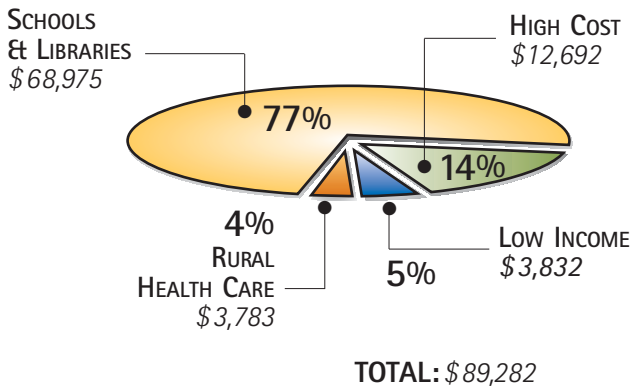
Contributions 2006 Year in Review—In 2006, the USAC Finance Billing Team processed 100% of the approximately 42,000 contributor invoices on time. The chart above depicts the 2006 breakdown of monthly invoices by contributor type.

MANAGEMENT DISCUSSION AND ANALYSIS

Accordingly, personnel costs have increased over the past three years as well. For the years ended December 31, 2004 and 2005, personnel costs were \$11,892,000 and \$13,582,000, respectively, representing an increase of 14%. For the year ended December 31, 2006, projected personnel costs are approximately \$15,733,000, for an increase over 2005 spending of \$2,151,000, or 16%. Personnel costs include wages, employee benefits, and corporate payroll tax liabilities.

2006 Use of Administrative Resources by Support Programs

(Unaudited · in thousands)



The chart above displays the use of all administrative resources for 2006 in terms of support program usage. These figures represent a 5% increase in the administrative resources used by the Schools and Libraries Program, and a 5% decrease in administrative resources used by the High Cost Program. Percentages of administrative costs used by the Low Income and Rural Health Care Programs remained relatively unchanged from 2005.

Overall general and administrative expenses increased from \$10,622,000 at December 31, 2004 to \$24,230,000 at December 31, 2005, for an increase of \$13,608,000, or 128%. At December 31, 2006, projected general and administrative expenses are estimated to be approximately \$25,058,000, for an increase over 2005 spending of \$828,000, or 3%. The increase from 2005 to 2006 is due in part to increased staffing and systems requirements associated with implementing a large-scale audit program pursuant to the Improper Payments Information Act (IPIA) to perform a total of 460 support program beneficiary and USF contributor audits, as well as the expansion of the IT staff's role to implement several systems enhancements,

a formal information technology governance process, and an Infrastructure Change Control Board (ICCB) to provide a standard approach to systems change and configuration management.

Lastly, Support Program contractual expenses have seen a modest increase over the past three years. For the years ending December 31, 2004 and 2005, Support Program contractual expenses were \$44,306,000 and \$46,408,000, respectively, for an increase of \$2,102,000, or 5%. During 2006, Support Program contractual expenses increased to an estimated \$46,659,000, for an increase of \$251,000, or 0.6%. Support Program contractual expenses include direct program administration fees and contract changes to those administration fees.

The overall purpose of the increased staffing and ancillary costs noted above is to ensure that USAC is able to continually improve its efficiency and effectiveness as administrator of the USF and the Support Programs. In 2006, USAC's efforts demonstrated its financial reliability and integrity and helped to establish USAC as a partner with the FCC to provide accurate, timely, and reliable financial data related to USAC and the USF and the Support Programs.

MANAGEMENT DISCUSSION AND ANALYSIS • UNAUDITED STATEMENT OF FINANCIAL POSITION OF USAC • FOR THE YEAR ENDED DECEMBER 31, 2006

(in thousands)

	2006
ASSETS	
Current Assets:	
Cash	\$ 6,268
Prepaid expenses and other current assets	178
Assets held for the Federal USF	5,380,980
TOTAL CURRENT ASSETS	5,387,426
FIXED ASSETS, less accumulated depreciation and amortization of \$6,412	3,143
OTHER ASSETS	1
TOTAL	\$ 5,390,570
LIABILITIES AND UNRESTRICTED NET ASSETS	
Current Liabilities:	
Accounts payable and accrued expenses	\$ 4,484
Payable to the Federal USF	5,106
Liabilities related to assets held for the Federal USF	5,380,980
TOTAL CURRENT LIABILITIES	5,390,570
COMMITMENTS AND CONTINGENCIES	—
UNRESTRICTED NET ASSETS	—
TOTAL	\$ 5,390,570

MANAGEMENT DISCUSSION AND ANALYSIS UNAUDITED STATEMENT OF OPERATIONS AND CHANGE IN UNRESTRICTED NET ASSETS OF USAC FOR THE YEAR ENDED DECEMBER 31, 2006 • (in thousands)

REVENUE:	
Contract revenue	\$ 89,009
Interest income	429
Total revenue	89,438
OPERATING EXPENSES:	
Contractual expenses	46,659
Personnel and related expenses	15,733
General and administrative	25,058
Depreciation and amortization	1,988
Total operating expenses	89,438
NET INCOME	—
UNRESTRICTED NET ASSETS—Beginning of year	—
UNRESTRICTED NET ASSETS—End of year	\$ —

MANAGEMENT DISCUSSION AND ANALYSIS - UNAUDITED STATEMENT OF CASH FLOWS OF USAC - FOR THE YEAR ENDED DECEMBER 31, 2006

(in thousands)

2006

CASH FLOWS FROM OPERATING ACTIVITIES:

Cash received from the Federal USF and other vendors	\$ 79,649
Cash paid for contractual expenses and employees	(85,556)
Interest received	429

Net cash used for operating activities	\$ (5,478)
--	------------

CASH FLOWS FROM INVESTING ACTIVITIES:

Purchase of fixed assets	(1,141)
--------------------------	---------

Net cash used for investing activities	(1,141)
--	---------

DECREASE IN CASH AND CASH EQUIVALENTS	(6,619)
---------------------------------------	---------

CASH AND CASH EQUIVALENTS—Beginning of year	12,887
---	--------

CASH AND CASH EQUIVALENTS—End of year	\$ 6,268
---------------------------------------	----------

RECONCILIATION OF NET INCOME TO NET CASH PROVIDED BY OPERATING ACTIVITIES:

Net income	\$ —
------------	------

Adjustments to reconcile net income to net cash
provided by operating activities:

Depreciation and amortization	1,988
-------------------------------	-------

Changes in operating assets and liabilities:

Decrease in prepaid expenses and current assets	91
---	----

Decrease in other assets	141
--------------------------	-----

Increase in assets held for the Federal USF	(866,604)
---	-----------

Decrease in payable to the Federal USF	(9,431)
--	---------

Increase in accounts payable and accrued expenses	1,733
---	-------

Increase in liabilities related to assets held for the Federal USF	866,604
--	---------

NET CASH USED FOR OPERATING ACTIVITIES	\$ (5,478)
--	------------

MANAGEMENT DISCUSSION AND ANALYSIS
UNAUDITED SUMMARY STATEMENT OF ASSETS AND LIABILITIES APPLICABLE TO THE FEDERAL USF
FOR THE YEAR ENDED DECEMBER 31, 2006 - *(in thousands)*

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ASSETS:					
USF cash and cash equivalents	\$ 1,395,636	\$ 378,847	\$ 147,538	\$ 39,466	\$ 1,961,487
Investments	2,589,573	—	—	—	2,589,573
Receivables	445,258	458,878	83,243	5,079	992,458
Allowance for doubtful accounts	(118,322)	(88,035)	(20,975)	(657)	(227,989)
Interest receivable	57,444	1,900	816	185	60,345
Receivable from USAC	(9,392)	13,403	2,270	(1,175)	5,106
TOTAL	\$ 4,360,197	\$ 764,993	\$ 212,892	\$ 42,898	\$ 5,380,980
LIABILITIES:					
Payable to service providers	\$ 22,685	\$ 27,135	\$ 4,404	\$ 99	\$ 54,323
Payable to contributors	4,116	7,895	1,466	111	13,588
Accrued liabilities	126,878	346,743	65,698	—	539,319
TOTAL	\$ 153,679	\$ 381,773	\$ 71,568	\$ 210	\$ 607,230

MANAGEMENT DISCUSSION AND ANALYSIS
UNAUDITED SUMMARY STATEMENT OF CHANGES IN ASSETS AND LIABILITIES
APPLICABLE TO THE FEDERAL USF - FOR THE YEAR ENDED DECEMBER 31, 2006
(in thousands)

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 2,148,935	\$ 4,145,338	\$ 863,602	\$ 29,172	\$ 7,187,047
Interest income	167,870	23,650	9,985	2,302	203,807
Total additions	2,316,805	4,168,988	873,587	31,474	7,390,854
DEDUCTIONS:					
Amount paid and due to service providers	1,657,660	4,084,955	820,658	40,518	6,603,791
Allowance for doubtful accounts	(7,094)	4,106	(5,910)	92	(8,806)
Operating expenses	64,373	12,638	2,882	3,828	83,721
Unrealized/realized loss	(479)	—	—	—	(479)
Total deductions	1,714,460	4,101,699	817,630	44,438	6,678,227
CHANGE IN ASSETS AND LIABILITIES	\$ 602,345	\$ 67,289	\$ 55,957	\$ (12,964)	\$ 712,627

MANAGEMENT DISCUSSION AND ANALYSIS
UNAUDITED COMBINING SCHEDULE OF CASH FLOWS APPLICABLE TO THE FEDERAL USF
FOR THE YEAR ENDED DECEMBER 31, 2006 • *(in thousands)*

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 1,994,353	\$ 4,095,553	\$ 837,444	\$ 46,123	\$ 6,973,473
Interest received	127,857	21,750	9,169	2,117	160,893
Cash paid to service providers	(1,525,544)	(4,069,009)	(821,370)	(40,490)	(6,456,413)
Cash paid for administrative costs	(63,063)	(10,200)	(2,593)	(3,572)	(79,428)
Net cash provided by operating activities	\$ 533,603	\$ 38,094	\$ 22,650	\$ 4,178	\$ 598,525
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of investments	7,586,658	—	—	—	7,586,658
Purchase of investments	(8,967,571)	—	—	—	(8,967,571)
Net cash used for investing activities	(1,380,913)	—	—	—	(1,380,913)
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(847,310)	38,094	22,650	4,178	(782,388)
CASH AND CASH EQUIVALENTS: Beginning of year	2,242,946	340,753	124,888	35,288	2,743,875
CASH AND CASH EQUIVALENTS: End of year	\$ 1,395,636	\$ 378,847	\$ 147,538	\$ 39,466	\$ 1,961,487

INDEPENDENT AUDITORS' REPORT

To the Board of Directors of
Universal Service Administrative Company:

We have audited the accompanying statements of financial position of the Universal Service Administrative Company (a Delaware corporation) (the "Company" or "USAC") as of December 31, 2005 and 2004, and the related statements of operations and change in unrestricted net assets and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes consideration of internal control over financial reporting as a basis for designing audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control over financial reporting. Accordingly, we express no such opinion. An audit also includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Company as of December 31, 2005 and 2004, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Our audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. Certain information listed in the table of contents and Note 3 is applicable to the Federal Universal Service Fund ("USF") which is the fund USAC administers. This information is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information includes the Combining Schedules of Assets and Liabilities, Changes in Assets and Liabilities, and Cash Flows applicable to Federal USF listed in the table of contents, the receivable from USAC, Summary Schedules of Liabilities and Changes in Assets and Liabilities, as well as the cash flow information excluding operating activities presented in Note 3. This additional information is the responsibility of the Company's management. This information has been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.



June 30, 2006

Member of
Deloitte Touche Tohmatsu

STATEMENTS OF FINANCIAL POSITION - As of DECEMBER 31, 2005 AND 2004

(in thousands)

ASSETS	2005	2004
CURRENT ASSETS:		
Cash	\$ 12,887	\$ 9,623
Prepaid expenses and other current assets	269	101
Assets held for the Federal USF (Note 3)	<u>4,514,377</u>	<u>3,894,265</u>
Total current assets	4,527,533	3,903,989
FIXED ASSETS, less accumulated depreciation and amortization of \$4,229 and \$3,276, respectively (Note 2)	3,990	2,765
OTHER ASSETS	<u>142</u>	<u>196</u>
TOTAL	<u>\$ 4,531,665</u>	<u>\$ 3,906,950</u>
 LIABILITIES AND UNRESTRICTED NET ASSETS		
CURRENT LIABILITIES:		
Accounts payable and accrued expenses (Note 2)	\$ 2,751	\$ 7,838
Payable to the Federal USF (Note 2)	14,537	4,847
Liabilities related to assets held for the Federal USF (Note 3)	4,514,377	3,894,265
Total current liabilities	<u>4,531,665</u>	<u>3,906,950</u>
COMMITMENTS AND CONTINGENCIES (Note 5)	—	—
UNRESTRICTED NET ASSETS	<u>—</u>	<u>—</u>
TOTAL	<u>\$ 4,531,665</u>	<u>\$ 3,906,950</u>

See notes to financial statements.

STATEMENTS OF OPERATIONS AND CHANGE IN UNRESTRICTED NET ASSETS

FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

(in thousands)

	2005	2004
REVENUE—Contract revenue	<u>\$ 85,190</u>	<u>\$ 67,349</u>
OPERATING EXPENSES:		
Contractual expenses (Notes 1 and 6)	46,408	44,306
Personnel and related expenses	13,582	11,892
General and administrative	24,230	10,622
Depreciation and amortization	<u>970</u>	<u>529</u>
Total operating expenses	<u>85,190</u>	<u>67,349</u>
NET INCOME	—	—
UNRESTRICTED NET ASSETS—Beginning of year	<u>—</u>	<u>—</u>
UNRESTRICTED NET ASSETS—End of year	<u>\$ —</u>	<u>\$ —</u>

See notes to financial statements.

STATEMENTS OF CASH FLOWS • FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

(in thousands)

	2005	2004
CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from contributors	\$ 7,057,720	\$ 6,110,562
Interest received	111,363	44,135
Cash paid to service providers	(6,453,483)	(5,592,517)
Cash paid for administrative costs	(88,849)	(61,392)
Less: Net cash provided by the Federal USF	<u>(621,292)</u>	<u>(492,766)</u>
Net cash provided by operating activities	5,459	8,022
CASH FLOWS FROM INVESTING ACTIVITIES:		
Cash paid for fixed assets	<u>(2,195)</u>	<u>(1,285)</u>
INCREASE IN CASH AND CASH EQUIVALENTS	3,264	6,737
CASH AND CASH EQUIVALENTS—Beginning of year	<u>9,623</u>	<u>2,886</u>
CASH AND CASH EQUIVALENTS—End of year	\$ <u>12,887</u>	\$ <u>9,623</u>
RECONCILIATION OF NET INCOME TO NET CASH PROVIDED BY OPERATING ACTIVITIES:		
Net income	\$ —	\$ —
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	970	529
Changes in operating assets and liabilities:		
(Increase) decrease in prepaid expenses and current assets	(168)	644
Decrease (increase) in other assets	54	(116)
Increase in assets held for the Federal USF	(620,112)	(408,018)
Increase in payable to the Federal USF	9,690	2,066
(Decrease) increase in accounts payable and accrued expenses	(5,087)	4,899
Increase in liabilities related to assets held for the Federal USF	<u>620,112</u>	<u>408,018</u>
NET CASH PROVIDED BY OPERATING ACTIVITIES	\$ <u>5,459</u>	\$ <u>8,022</u>

See notes to financial statements.

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

1. ORGANIZATION AND BASIS OF PRESENTATION

The Universal Service Administrative Company ("USAC" or the "Company") was incorporated, effective September 17, 1997, as a not-for-profit, independent, wholly owned subsidiary of the National Exchange Carrier Association, Inc. ("NECA"), and appointed by the Federal Communications Commission ("FCC") to administer the Federal Universal Service Fund ("USF"). USAC's Board of Directors consists of independent directors representing a cross-section of stakeholders in the Federal USF.

The FCC, in its Report and Order in CC Docket Nos. 96-45 and 97-21 ("Universal Service Order") released May 8, 1997 and November 20, 1998, respectively, determined that USAC should serve as the permanent administrator of the High Cost, Low Income, Rural Health Care, and Schools and Libraries Universal Service Support Programs, collectively referred to herein as the "Programs," established pursuant to Section 254 of the Communications Act of 1934, as amended.

USAC performs billing, collection, and disbursement functions for all the Programs. It also collects information regarding contributing entities' and end-user telecommunications revenues, and submits projections of demand, administrative expenses for the Programs, and quarterly universal service contribution data to the FCC.

The functions of USAC also include, but are not limited to: development of applications and associated instructions as needed for the Programs, administering the application process to ensure compliance with FCC rules and related operational infrastructure for such processes, creating and maintaining a Web site, performing outreach and public education functions, authorizing audits of telecommunication carriers, schools, libraries, and rural health care providers, and development and implementation of other functions unique to the Programs.

NECA performs data collection functions for the High Cost Support Mechanism pursuant to FCC rules and bills USAC for the associated costs whereby NECA is compensated by USAC in accordance with NECA's Cost Accounting and Procedures Manual. NECA Services, Inc. ("NECA Services") performs service for the Schools and Libraries and Rural Health Care Support Programs. Effective November 14, 2005, the name of NECA Services was changed to Solix, Inc. ("Solix"). For the years ended December 31, 2005 and 2004, the expense recognized for services rendered by NECA were \$549,000 and \$701,000, respectively, and for the same period, the expense recognized for services rendered by Solix were \$36.7 million and \$36.4 million, respectively. These expenses are included in the contractual expenses in the accompanying statements of operations. At December 31, 2005 and 2004, the amounts due to Solix related to these services were \$238,009 and \$3.7 million, respectively, and are included in accounts payable in the statements of financial position.

Funds collected from contributors to the Federal USF by USAC are restricted as to their intended use related to the Programs discussed above. The cash and other financial assets of the Federal USF which USAC administers and acts as an intermediary for are reported at fair value in the Statements of Financial Position as Assets held for the Federal USF, with an equal amount recorded as Liabilities related to assets held for the Federal USF in accordance with Statement of Financial Accounting Standards ("SFAS") No. 136, *Transfers of Assets to a Not-for-Profit Organization or Charitable Trust That Raises or Holds Contributions for Others* ("SFAS No. 136"). Activities related to the Federal USF are not presented in USAC's Statement of Operations and Change in Unrestricted Net Assets in accordance with SFAS No. 136. Operating cash flows related to the administration of the Federal USF are included in the Statements of Cash Flows as permitted by SFAS No. 136. See Note 3 for additional information.

NOTES TO FINANCIAL STATEMENTS AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

2. SIGNIFICANT ACCOUNTING POLICIES

Use of Estimates—The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Fixed Assets—Fixed assets consist of furniture, equipment, leasehold improvements, and software and are carried at cost, net of accumulated depreciation. Depreciation of furniture and equipment is calculated on a straight-line basis over the five- to seven-year estimated useful lives of those assets. Amortization of leasehold improvements is calculated on a straight-line basis over the shorter of the remaining period of the respective leases or estimated useful lives of the improvements. Amortization of software is calculated on a straight-line basis over the three-year estimated useful lives of those assets. Maintenance and repairs are expensed to operations as incurred.

Impairment of Long-Lived Assets—The Company evaluates long-lived assets for impairment whenever events or changes in circumstances indicate that the carrying value of an asset may no longer be recoverable. If the estimated future cash flows (undiscounted and without interest charges) from the use of an asset were less than the carrying value, a write-down would be recorded to reduce the related asset to its estimated fair value.

Payable to the Federal USF—Payable to the Federal USF presented on the Company's statements of financial position consists of amounts provided to USAC by the Federal USF for USAC operations and held in USAC cash in excess of accounts payable and accrued expenses.

Contract Revenue—USAC recognizes contract revenue when services are rendered. Contract revenues are equal to the cost of providing administrative support to the Support Programs. Such costs are paid by Federal USF to USAC. These transactions are considered exchange transactions in accordance with the American Institute of Certified Public Accountants' ("AICPA") *Audit and Accounting Guide for Not-for-Profit Organizations*.

Reclassifications—Certain reclassifications were made to the prior-year financial statements to conform to the current-year presentation.

3. ASSETS AND LIABILITIES RELATED TO ASSETS HELD FOR THE FEDERAL USF

In connection with USAC's administration of the Programs, USAC collects monies from and makes disbursements to telecommunications and service providers, as required by FCC rules, orders, and directives. As discussed in Note 1, the cash and other financial assets of the Federal USF which USAC administers and acts as an intermediary for are reported at fair value in the Statements of Financial Position as Assets held for the Federal USF, with an equal amount recorded as Liabilities related to assets held for the Federal USF. The majority of the information in the Summary Schedules of Assets applicable to the Federal USF included below provides additional detail with respect to these amounts. The operating cash flow information in the Summary Schedule of Cash Flows applicable to the Federal USF is also included in the Statements of Cash Flows. The remainder of the information below, including the Receivable from USAC, is provided herein for informational purposes only. The Receivable from USAC is not recorded in the Statements of Financial Position as recording the receivable as a component of Assets held for the Federal USF would require the recordation of an equal amount as Liabilities related to assets held for the Federal USF in accordance with SFAS No. 136, and a liability for these amounts is already reflected on the Statements of Financial Position.

NOTES TO FINANCIAL STATEMENTS AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004 • (in thousands)

SUMMARY SCHEDULES OF ASSETS APPLICABLE TO THE FEDERAL USF

	2005	DECEMBER 31 2004
ASSETS:		
USF cash and cash equivalents	\$ 2,743,875	\$ 3,321,671
Investments	1,223,319	24,230
Receivables	781,808	758,407
Allowance for doubtful accounts	(236,904)	(216,523)
Interest receivable	<u>2,279</u>	<u>6,480</u>
Assets held for Federal USF	4,514,377	3,894,265
Receivable from USAC	<u>14,537</u>	<u>4,847</u>
TOTAL	\$ 4,528,914	\$ 3,899,112

SUMMARY SCHEDULES OF LIABILITIES APPLICABLE TO THE FEDERAL USF

	2005	2004
LIABILITIES:		
Payable to service providers	\$ 49,505	\$ 28,484
Payable to contributors	16,497	31,901
Accrued liabilities	<u>396,758</u>	<u>371,027</u>
TOTAL	\$ 462,760	\$ 431,412

SUMMARY SCHEDULES OF CHANGES IN ASSETS AND LIABILITIES APPLICABLE TO THE FEDERAL USF

	2005	FOR THE YEARS ENDED 2004
ADDITIONS:		
Amounts billed to contributors	\$ 7,096,525	\$ 6,034,356
Interest income	<u>110,495</u>	<u>50,764</u>
Total additions	<u>7,207,020</u>	<u>6,085,120</u>
DEDUCTIONS:		
Amount paid and due to service providers	6,500,234	5,618,221
Allowance for doubtful accounts	20,379	39,702
Operating expenses	84,619	67,349
Unrealized/realized losses on investments	<u>3,334</u>	<u>4,286</u>
Total deductions	<u>6,608,566</u>	<u>5,729,558</u>
CHANGE IN ASSETS AND LIABILITIES	\$ 598,454	\$ 355,562

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

SUMMARY SCHEDULES OF CASH FLOWS APPLICABLE TO THE FEDERAL USF

FOR THE YEARS ENDED
2005 **2004**
(in thousands)

CASH FLOWS FROM OPERATING ACTIVITIES:

Cash received from contributors	\$ 7,057,720	\$ 6,110,562
Interest received	111,363	44,135
Cash paid to service providers	(6,453,483)	(5,592,517)
Cash paid for administrative expenses	(94,308)	(69,414)

Net cash provided by operating activities	621,292	492,766
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CASH FLOWS FROM INVESTING ACTIVITIES:

Redemption of investments	52,149	1,368,724
Purchase of investments	(1,251,237)	(1,048,494)

Net cash (used in) provided by investing activities	(1,199,088)	320,230
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(DECREASE) INCREASE IN CASH AND CASH EQUIVALENTS	(577,796)	812,996
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CASH AND CASH EQUIVALENTS:

Beginning of year	3,321,671	2,508,675
End of year	\$ 2,743,875	\$ 3,321,671

Significant Accounting Policies and FCC Orders Applicable to the Federal USF

Concentration of Credit Risk—Financial instruments that potentially subject the Company to concentration of credit risk consist principally of cash, cash equivalents, short-term and long-term investments, and receivables from contributors. The Company places its cash, cash equivalents, short-term and long-term investments with high-credit quality institutions and limits the amount of credit exposure from any one institution.

Cash and Cash Equivalents—The Federal USF considers all highly liquid securities with an original maturity of three months or less as of the financial statement date to be cash equivalents.

Short-Term Investments—The Federal USF considers all securities purchased with an original maturity of greater than three months but less than or equal to one year to be short-term investments. Short-term investments consist solely of United States Treasury and agency securities with readily determinable fair values. The Federal USF accounts for its investments in accordance with SFAS No. 124, *Accounting for Certain Investments Held by Not-for-Profit Organizations*. Under SFAS No. 124, a not-for-profit organization reports investments in debt and equity securities at fair market value. At December 31, 2005, the Federal USF had \$1,108 million in short-term investments. There were no short-term investments at December 31, 2004.

Long-Term Investments—The Federal USF considers all securities purchased with an original maturity of greater than one year to be long-term investments. The Federal USF accounts for its investments in accordance with SFAS No. 124. Long-term investments consisted primarily of United States Treasury debt securities in 2004 and solely of United States Treasury debt securities in 2005 with readily determinable fair values. At December 31, 2005 and 2004, the Federal USF had \$115 million and \$24 million of long-term investments, respectively.

Accounts Receivable and Allowance for Doubtful Accounts—Accounts receivable held by the Federal USF arise from amounts billed to contributors and recovery of funds from service providers and beneficiaries which remain unpaid.

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

Accounts receivable are recorded at invoiced amounts and generally do not bear interest. Based on the Debt Collection Improvement Act ("DCIA"), all receivables over 90 days delinquent are transferred to the FCC for collection and the receivable balances transferred remain on the Federal USF financial statements. All receipts of DCIA transferred receivables are the property of the Federal USF and are transferred to the Federal USF by the FCC.

Gross receivables are reduced to net realizable value by the allowance for doubtful accounts. The allowance for doubtful accounts reflects the Company's estimate of exposure to risk of nonpayment of billed balances, determined principally on the basis of its collection experience. The allowance includes reserves for identified bankruptcies, identified inactive contributors, delinquent amounts that are referred to the FCC for enforcement, and other items. Management periodically reviews such estimates and management's assessment of recoverability may change based on actual results.

Amounts Billed to Contributors—Contributors to the Federal USF are permitted to revise their revenue data, which may result in adjustments to amounts previously billed. Billing adjustments are calculated upon receipt of the revised revenue data and recorded when billed or credited to the contributor. The Federal USF accrues known and unbilled adjustments resulting from revised revenue data received from the contributors before year-end.

Payable to Service Providers—Payable to service providers reflects amounts that have been approved for payment by the various Programs but have not yet been disbursed. The Federal USF recognizes the liability upon review and approval of the submitted payment requests as specified in the Program rules.

Payable to Contributors—Payable to contributors represents contributors' credit balances primarily due to overpayments and other credit adjustments.

Amounts Paid and Due to Service Providers—Amounts paid and due to service providers are presented as a gross amount. However, during 2005 and 2004, service providers receiving payments from the Schools and Libraries Program had the option to net their payments due from the Schools and Libraries Program against their required contributions to the Federal USF. The Rural Health Care Program requires that providers receiving payments from this program net those payments against their required contributions to the Federal USF. There is no provision that enables providers to net their payments due from High Cost and Low Income Programs against their required contributions to the Federal USF.

Amounts paid and due to service providers through certain Programs may be subject to subsequent revisions. These revisions may result in adjustments that may cause an increase or decrease to the amounts previously billed or disbursed. In accordance with FCC rules, the Company records these adjustments in the period they are determined. Management does not have a methodology to determine a reasonable basis for amounts that may be adjusted in future periods and is therefore unable to accrue for such an event. Nevertheless, management does not believe that the impact of these adjustments is material to the financial statements presented.

Intraprogram Transfers—On March 5, 2004, the FCC issued a Public Notice in Docket No. 96-45 directing USAC to apply \$200 million of unused Schools and Libraries Program funds to the second quarter of 2004 Schools and Libraries demand in order to stabilize the USF contribution factor. On June 7, 2004, the FCC issued a Public Notice in Docket No. 96-45 directing USAC to apply an additional \$200 million of unused Schools and Libraries Program funds to the third quarter of 2004. On September 16, 2004, the FCC released a Public Notice in Docket No. 96-45 directing USAC to apply an additional \$150 million of unused Schools and Libraries Program funds to the fourth quarter of 2004. In total, the FCC directed USAC to reduce Schools and Libraries Program collections by \$550 million.

4. INCOME TAXES

USAC is a not-for-profit organization subject to income taxes related to permanent and temporary differences such as meals and entertainment expense and financial accounting versus tax depreciation. Income taxes for 2005

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

and 2004 are not material and are included as a component of administrative costs.

5. COMMITMENTS AND CONTINGENCIES

Commitments to Schools, Libraries, and Rural Health Care Facilities—The management of USAC has developed operational procedures to administer the application process through which eligible schools and libraries and rural health care providers apply for universal service funding. These operational procedures enable USAC to review and process applications resulting in funding commitment letters that are issued to eligible schools and libraries and rural health care providers. USAC also receives funds returned by service providers and beneficiaries and applies those funds to reduce the disbursements to schools, libraries, and rural health care providers.

Fixed Contract Commitments

LaSalle Bank Agreement—On May 1, 2001, USAC entered into an agreement with LaSalle Bank N.A. ("LaSalle") (the "LaSalle Agreement"). The LaSalle Agreement is a five-year contract, which runs from July 1, 2001 to June 30, 2006. Under the terms of the LaSalle Agreement, LaSalle provides banking and investment management services for a fixed annual contractual amount that may be satisfied by fees derived by LaSalle from the investment of a portion of the custodial assets. LaSalle has also agreed to share with USAC the fees it earns for managing the investments after the annual fee has been satisfied. For the year ended December 31, 2005, no fees were earned or accrued under this agreement. For the year ended December 31, 2004, USAC accrued fees of \$2.7 million, which is reflected as a reduction in operating expenses in the accompanying financial statements.

Fees earned are dependent on the amounts invested and vary over the term of the contract. For the contract year July 1, 2004 through June 30, 2005, USAC paid LaSalle \$1.1 million in fees under the LaSalle Agreement. On January 23, 2006, LaSalle notified USAC that the remaining fees for 2005 of \$528,400 (July 1, 2005 through December 31, 2005) were satisfied by USAC through the Federal USF cash assets on deposit held by LaSalle. USAC and LaSalle are holding discussions concerning whether cash on deposit will again be sufficient to offset any fees that may be due under the LaSalle Agreement for the period January 1, 2006 through June 30, 2006. On December 28, 2005, USAC notified LaSalle that it is exercising its first of three one-year renewal options under the agreement, which will extend the expiration of the agreement from June 30, 2006 to June 30, 2007. USAC may, at its option, extend the agreement until June 30, 2009.

Solix, Inc. Agreement—On May 1, 2000, USAC entered into an agreement with NECA ("NECA Agreement"). The NECA Agreement was a three-year contract, which ran from July 1, 2000 to June 30, 2003. Effective July 1, 2002, the NECA Agreement was amended and extended to June 30, 2005, with renewal options through June 30, 2008. Effective January 1, 2003, the contract was assigned to NECA Services, Inc. ("NECA Services Agreement"). Effective November 14, 2005, NECA Services, Inc. became Solix, Inc. Effective March 29, 2005, USAC executed a partial exercise of the contract renewal option by extending the agreement through December 31, 2006. Under the terms of the agreement, Solix, Inc. provides programmatic support service to the Schools and Libraries and Rural Health Care Programs. The future contractual required payments for the period January 1, 2006 through December 31, 2006, under the Solix, Inc. Agreement for the Schools and Libraries and Rural Health Care Programs are \$32.3 million and \$2.6 million, respectively, excluding the cost of any change orders or other contract modifications that may be executed during this period.

Telcordia Agreement—On September 2, 2003, USAC entered into an agreement with Telcordia Technologies, Inc. ("Telcordia Agreement"). The Telcordia Agreement is a five-year contract with a four-month transition phase, in the event the contract is not renewed or extended, that runs from September 2, 2003 to December 31, 2008, with a renewal option for one year. Under the terms of the agreement, Telcordia provides program support services to the High Cost and Low Income Programs. The future contractual required payments per year through December 31, 2008, under the Telcordia Agreement are as follows (see next page):

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

(in thousands)

2006	\$ 4,000
2007	\$ 3,888
2008	\$ 3,975
Total	\$ 11,863

Lease Commitments—USAC leases its office space under two operating lease agreements expiring on September 30, 2015. At December 31, 2005, the future minimal rental payments under these leases are as follows:

(in thousands)

2006	\$ 1,485
2007	\$ 1,519
2008	\$ 1,558
2009	\$ 1,611
2010	\$ 1,650
Thereafter	\$ 8,505
Total	\$ 16,328

Rent expense under operating leases was \$1.3 million and \$1.1 million for the years ended December 31, 2005 and 2004, respectively.

Legal Disputes—The Company is involved in various legal proceedings and claims incidental to the normal conduct of its business. Among other matters, in 2002, the Company was named as a defendant in a complaint filed in the United States Bankruptcy Court for the Central District of California seeking to recover an allegedly preferential payment of approximately \$500,000 in required USF contributions. On December 22, 2002, the court granted summary judgment in the Company's favor, disposing of the action. The Creditors' Committee appealed and, in September 2003, the Bankruptcy Appellate Panel of the Ninth Circuit reversed the Bankruptcy Court's decision. The Company has appealed the Ninth Circuit decision, and briefs have been filed by both parties; however, a decision from the court has not been issued.

In 2003, the Company was named as a third-party defendant to a complaint in Minnesota State Court alleging that the Company was negligent in administering the funding process for the Schools and Libraries Program. In the initial complaint, the plaintiff alleged that it would have received approximately \$1.6 million in funding support. In July 2004, the court granted the Company's motion for summary judgment and dismissed the third-party complaint against the Company on the grounds that the complaint was preempted by federal law. In June 2005, the court granted summary judgment on the underlying complaint in favor of defendant and the plaintiff appealed. In July 2005, the defendant filed a notice of review seeking review of the court's summary judgment in favor of the Company. In February 2006, plaintiff and defendant agreed to settlement terms. The appeal seeking to overturn the 2004 summary judgment in favor of the Company was dismissed with prejudice by the defendant. This matter is now closed with no monetary effect to the Company or to the USF.

In February 2004, the Company was named as a defendant in a suit filed in the United States Bankruptcy Court for the Eastern District of North Carolina by the Chapter 7 trustee of a bankrupt service provider to the Schools and Libraries Program seeking approximately \$100,000 in service provider payments allegedly due but not paid by USAC. The suit was amended in January 2005 adding a county Board of Education as a party defendant. The three parties agreed to terms resolving this matter without payment of funds from the USF (beyond those conceded due in accordance with Program rules). The court approved the agreed terms in October 2005.

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004

In April 2004, the Company was named as defendant in a complaint in the United States Bankruptcy Court for the Southern District of New York seeking to avoid and recover from USAC alleged preferential pre-petition payments totaling approximately \$11.3 million in required USF contributions. USAC believes the allegations in the complaint are without merit and is defending this matter vigorously.

In June 2004, the Company was listed as a "defendant" on the docket of a filing with the United States Bankruptcy Court for the Southern District of New York, however, no complaint was filed in that proceeding or any proceeding prior to that date against the Company. The amount potentially in controversy is approximately \$300,000 in required USF contributions. On June 29, 2004, the debtors filed a motion seeking to temporarily stay all activity in the pending avoidance actions and listed USAC as a defendant. By agreement of the parties, USAC has been removed from the list of defendants, with the parties reserving their respective rights regarding the viability of any potential action against USAC.

The Company believes any potential allegations in this matter are without merit. USAC will continue to monitor this matter and vigorously defend any complaint that may be properly filed and served.

In September 2004, the Company was named as a defendant in a complaint filed in the United States Bankruptcy Court in Delaware seeking to avoid and recover alleged preferential pre-petition payments totaling approximately \$600,000 in required USF contributions. The parties have agreed to terms that will resolve this matter without payment of any funds from the Federal USF. These terms are subject to FCC consent, which is pending, and to court approval.

In September 2005, the Company received a third-party complaint naming the Company as a co-defendant with the FCC in a civil action filed in Federal District Court for the Northern District of Alabama. The complaint does not identify a precise amount in controversy, and the Company is itself unable to determine with reasonable certainty an amount in controversy. The Company and the FCC filed motions to dismiss in November 2005 and filed replies to third-party plaintiff's response in January 2006. No date is set for oral argument. The Company believes the allegations in the complaint are without legal merit and, in concert with the FCC, is defending this matter vigorously.

In January 2006, the Company was named as a defendant in a complaint filed in the United States Bankruptcy Court for the Southern District of New York seeking to avoid and recover alleged preferential pre-petition payments totaling approximately \$600,000 in required USF contributions. The parties have agreed to terms that will resolve this matter without payment of any funds from the Federal USF. These terms are subject to FCC consent and court approval.

The Company believes the allegations in the complaints described above are without merit and is defending these matters vigorously. Although it is impossible to predict the outcome of these or any of the other outstanding legal proceedings involving the Company, the Company believes that such outstanding legal proceedings and claims, individually and in the aggregate, are not likely to have a material effect on its financial position or results of operations.

6. RETIREMENT PLANS

USAC has a 401(k) Retirement Savings Plan covering all USAC regular employees. The plan is both contributory and noncontributory and all contributions are subject to certain limitations as prescribed by the plan document and government regulations. Employees are immediately vested in the employer contribution, which is funded on a current basis. Employer contributions charged to operations were \$1.1 million and \$930,000 during 2005 and 2004, respectively.

COMBINING SCHEDULES OF ASSETS AND LIABILITIES APPLICABLE TO THE FEDERAL USF AS OF DECEMBER 31, 2005 AND 2004 • (in thousands)

2005					
	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ASSETS:					
USF cash and cash equivalents	\$ 2,242,946	\$ 340,753	\$ 124,888	\$ 35,288	\$ 2,743,875
Investments	1,223,319	—	—	—	1,223,319
Receivables	307,506	410,183	57,663	6,456	781,808
Allowance for doubtful accounts	(126,600)	(88,710)	(20,993)	(601)	(236,904)
Interest receivable	2,279	—	—	—	2,279
Asset held for Federal USF	3,649,450	662,226	161,558	41,143	4,514,377
Receivable from USAC	(3,581)	15,640	3,454	(976)	14,537
TOTAL	\$ 3,645,869	\$ 677,866	\$ 165,012	\$ 40,167	\$ 4,528,914
LIABILITIES:					
Payable to service providers	\$ 17,446	\$ 27,509	\$ 4,479	\$ 71	\$ 49,505
Payable to contributors	5,358	8,984	2,044	111	16,497
Accrued liabilities	—	330,424	66,334	—	396,758
TOTAL	\$ 22,804	\$ 366,917	\$ 72,857	\$ 182	\$ 462,760

2004					
	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ASSETS:					
USF cash and cash equivalents	\$ 3,075,316	\$ 167,543	\$ 50,337	\$ 28,475	\$ 3,321,671
Investments	24,230	—	—	—	24,230
Receivables	244,771	400,945	103,702	8,989	758,407
Allowance for doubtful accounts	(99,319)	(93,581)	(22,878)	(745)	(216,523)
Interest receivable	7,345	(715)	(114)	(36)	6,480
Asset held for Federal USF	3,252,343	474,192	131,047	36,683	3,894,265
Receivable from USAC	(9,496)	12,816	2,790	(1,263)	4,847
TOTAL	\$ 3,242,847	\$ 487,008	\$ 133,837	\$ 35,420	\$ 3,899,112
LIABILITIES:					
Payable to service providers	\$ 12,277	\$ 12,919	\$ 3,222	\$ 66	\$ 28,484
Payable to contributors	8,564	18,488	4,646	203	31,901
Accrued liabilities	—	306,638	64,389	—	371,027
TOTAL	\$ 20,841	\$ 338,045	\$ 72,257	\$ 269	\$ 431,412

Note—This schedule reflects the assets and liabilities applicable to Federal USF at December 31, 2005 and 2004, for each of the Support Programs.

COMBINING SCHEDULES OF CHANGES IN ASSETS AND LIABILITIES APPLICABLE TO THE FEDERAL USF FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004 - (in thousands)

2005

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 2,233,320	\$3,988,780	\$ 840,253	\$ 34,172	\$ 7,096,525
Interest income	97,773	9,659	2,125	938	110,495
TOTAL ADDITIONS	2,331,093	3,998,439	842,378	35,110	7,207,020
DEDUCTIONS:					
Amount paid and due to service providers	1,838,080	3,825,577	809,397	27,180	6,500,234
Allowance for doubtful accounts	27,281	(4,872)	(1,886)	(144)	20,379
Operating expenses	61,339	15,747	4,292	3,241	84,619
Unrealized/realized gain or loss	3,334	—	—	—	3,334
TOTAL DEDUCTIONS	1,930,034	3,836,452	811,803	30,277	6,608,566
CHANGE IN ASSETS AND LIABILITIES	\$ 401,059	\$ 161,987	\$ 30,575	\$ 4,833	\$ 598,454

2004

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 1,688,435	\$3,534,061	\$ 772,376	\$ 39,484	\$ 6,034,356
Interest income	46,489	3,289	765	221	50,764
TOTAL ADDITIONS	1,734,924	3,537,350	773,141	39,705	6,085,120
DEDUCTIONS:					
Amount paid and due to service providers	1,328,918	3,498,025	769,395	21,883	5,618,221
Allowance for doubtful accounts	37,604	791	1,536	(229)	39,702
Operating expenses	45,991	13,930	4,337	3,091	67,349
Unrealized/realized gain or loss	4,286	—	—	—	4,286
TOTAL DEDUCTIONS	1,416,799	3,512,746	775,268	24,745	5,729,558
CHANGE IN ASSETS AND LIABILITIES	\$ 318,125	\$ 24,604	\$ (2,127)	\$ 14,960	\$ 355,562

Note—This schedule reflects the changes in assets and liabilities applicable to Federal USF for the years ended December 31, 2005 and 2004, for each of the Support Programs.

COMBINING SCHEDULES OF CASH FLOWS APPLICABLE TO THE FEDERAL USF FOR THE YEARS ENDED DECEMBER 31, 2005 AND 2004 • (in thousands)

2005

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 2,167,378	\$ 3,970,038	\$ 883,690	\$ 36,614	\$ 7,057,720
Interest received	99,505	8,944	2,011	903	111,363
Cash paid to service providers	(1,832,911)	(3,787,201)	(806,195)	(27,176)	(6,453,483)
Cash paid for administrative costs	(67,254)	(18,571)	(4,955)	(3,528)	(94,308)
Net cash provided by operating activities	366,718	173,210	74,551	6,813	621,292
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of investments	52,149	—	—	—	52,149
Purchase of investments	(1,251,237)	—	—	—	(1,251,237)
Net cash used in (provided by) investing activities	(1,199,088)	—	—	—	(1,199,088)
INCREASE (DECREASE) IN CASH EQUIVALENTS	(832,370)	173,210	74,551	6,813	(577,796)
CASH AND CASH EQUIVALENTS:					
Beginning of year	3,075,316	167,543	50,337	28,475	3,321,671
End of year	\$ 2,242,946	\$ 340,753	\$ 124,888	\$ 35,288	\$ 2,743,875
RECONCILIATION OF NET INCOME PROVIDED BY CASH FROM OPERATING ACTIVITIES:					
Net income	\$ 401,059	\$ 161,987	\$ 30,575	\$ 4,833	\$ 598,454
Adjustments to reconcile net income to net cash provided by operating activities:					
Bad debt expense	27,281	(4,872)	(1,886)	(144)	20,379
Changes in operating assets and liabilities:					
Decrease (increase) in interest receivable	5,066	(715)	(114)	(36)	4,201
Decrease (increase) in accounts receivable	(62,735)	(9,238)	46,039	2,533	(23,401)
Decrease (increase) in receivable from USAC	(5,915)	(2,824)	(664)	(287)	(9,690)
Increase (decrease) in accounts payable and accrued expenses	1,962	28,872	601	(86)	31,349
NET CASH PROVIDED BY OPERATING ACTIVITIES	\$ 366,718	\$ 173,210	\$ 74,551	\$ 6,813	\$ 621,292

2004

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 1,756,236	\$ 3,555,407	\$ 763,372	\$ 35,547	\$ 6,110,562
Interest received	38,933	4,020	918	264	44,135
Cash paid to service providers	(1,357,834)	(3,455,286)	(757,561)	(21,836)	(5,592,517)
Cash paid for administrative costs	(34,752)	(26,354)	(6,558)	(1,750)	(69,414)
Net cash provided by operating activities	402,583	77,787	171	12,225	492,766
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of investments	1,368,724	—	—	—	1,368,724
Purchase of investments	(1,048,494)	—	—	—	(1,048,494)
Net cash used in (provided by) investing activities	320,230	—	—	—	320,230
INCREASE (DECREASE) IN CASH EQUIVALENTS	722,813	77,787	171	12,225	812,996
CASH AND CASH EQUIVALENTS:					
Beginning of year	2,352,503	89,756	50,166	16,250	2,508,675
End of year	\$ 3,075,316	\$ 167,543	\$ 50,337	\$ 28,475	\$ 3,321,671
RECONCILIATION OF NET INCOME PROVIDED BY CASH FROM OPERATING ACTIVITIES:					
Net income	\$ 318,125	\$ 24,604	\$ (2,127)	\$ 14,960	\$ 355,562
Adjustments to reconcile net income to net cash provided by operating activities:					
Bad debt expense	46,551	23,476	6,484	109	76,620
Changes in operating assets and liabilities:					
Decrease (increase) in interest receivable	(3,270)	732	155	44	(2,339)
Decrease (increase) in accounts receivable	31,166	(82)	(14,258)	(4,294)	12,532
Decrease (increase) in receivable from USAC	11,549	(12,717)	(2,211)	1,314	(2,065)
Increase (decrease) in accounts payable and accrued expenses	(1,538)	41,774	12,128	92	52,456
NET CASH PROVIDED BY OPERATING ACTIVITIES	\$ 402,583	\$ 77,787	\$ 171	\$ 12,225	\$ 492,766

Note—This schedule reflects the cash flows applicable to Federal USF for the years ended December 31, 2005 and 2004 for each of the Support Programs.

2006 PROGRAM STATISTICS - UNAUDITED DIFFERENCES BETWEEN DISBURSEMENTS AND COMMITMENTS

The following pages contain information from the four support programs administered by USAC. To better understand this information, please note the difference between disbursements and commitments as well as program/funding year versus calendar year.

FUNDING YEAR

For the Rural Health Care and Schools and Libraries programs, a Funding Year (FY) runs from July 1 to June 30 of the following year.

Rural Health Care and Schools and Libraries Program Funding Years	Start Date	End Date
FUNDING YEAR 2003 (FY2003)	JULY 1, 2003	JUNE 30, 2004
FUNDING YEAR 2004 (FY2004)	JULY 1, 2004	JUNE 30, 2005
FUNDING YEAR 2005 (FY2005)	JULY 1, 2005	JUNE 30, 2006
FUNDING YEAR 2006 (FY2006)	JULY 1, 2006	JUNE 30, 2007

CALENDAR YEAR

The High Cost and Low Income programs disburse funds on a Calendar Year basis. Information in the tables is for Calendar Year 2006.

Note: In the High Cost Program Disbursements by Component table (page 39), High Cost Loop includes disbursements for its two subcomponents, Safety Net Additive Support and Safety Valve Support. Long Term Support (LTS) was merged into Interstate Common Line Support (ICLS) in July 2004. 2006 ICLS disbursements may include LTS based on prior-period adjustments.

DISBURSEMENTS

The tables contain the amount of USF support issued in Calendar Year 2006, which does not reflect certain accounting adjustments. For the Rural Health Care and Schools and Libraries programs, the disbursement information is shown by Funding Year in addition to the total Calendar Year 2006 amount disbursed. For the Rural Health Care and Schools and Libraries programs, disbursement information in the Calendar Year tables may represent multiple Funding Years.

FUNDING COMMITMENTS

Funding commitments are not disbursements. Funding commitments are issued by the Rural Health Care and Schools and Libraries programs via commitment letters that approve what will be funded through USF support payments for a particular Funding Year. Commitments made in Calendar Year 2006 may be for applications filed during previous Funding Years and the current Funding Year.

The tables for the Rural Health Care and Schools and Libraries programs provide Calendar Year 2006 and Funding Year 2006 commitment information. Funding Year 2006 disbursement information is provided for the Schools and Libraries program.

HIGH COST PROGRAM - DISBURSEMENTS BY COMPONENT, 2006 - UNAUDITED

(in thousands)

State	High Cost Loop	High Cost Model	Interstate Access Support	Interstate Common Line Support	Local Switching Support	Total 2006	Total 1998 - 12/31/06
Alabama	\$ 23,102	\$ 45,684	\$ 19,577	\$ 21,215	\$ 6,393	\$ 115,971	\$ 775,539
Alaska	69,564	0	0	67,512	16,509	153,586	814,481
American Samoa	562	0	0	1,660	514	2,736	11,091
Arizona	40,165	0	20,503	12,010	10,337	83,015	522,974
Arkansas	67,518	0	7,760	49,007	8,221	132,506	917,989
California	41,630	0	39,800	20,966	3,661	106,058	727,978
Colorado	34,097	0	20,363	20,649	4,430	79,538	587,465
Connecticut	0	0	576	885	687	2,148	14,650
Delaware	0	0	261	0	0	261	5,235
District of Columbia	0	0	0	0	0	0	0
Florida	11,987	0	56,637	9,216	3,767	81,607	600,449
Georgia	37,942	0	24,684	32,441	12,650	107,717	872,559
Guam	7,500	0	0	9,205	0	16,705	59,187
Hawaii	21,251	0	2,453	14,904	2,189	40,797	111,959
Idaho	20,568	0	15,773	9,191	6,597	52,130	401,260
Illinois	17,662	0	11,545	27,796	10,766	67,769	416,489
Indiana	13,176	0	24,826	15,048	10,407	63,457	381,084
Iowa	30,454	0	6,280	40,424	28,468	105,625	510,880
Kansas	108,135	0	6,555	56,317	19,183	190,190	974,250
Kentucky	29,154	17,992	18,854	26,517	6,591	99,107	481,297
Louisiana	74,084	0	12,886	33,476	6,537	126,983	805,185
Maine	9,158	2,112	150	16,324	9,206	36,951	258,251
Maryland	374	0	2,559	692	921	4,547	27,958
Massachusetts	86	0	1,805	258	677	2,827	50,219
Michigan	26,309	0	648	21,664	10,318	58,938	400,851
Minnesota	44,594	0	3,932	48,746	22,622	119,894	654,035
Mississippi	30,876	198,420	24,534	16,375	5,828	276,033	1,342,816
Missouri	39,189	0	10,660	29,722	6,518	86,089	678,900
Montana	25,493	24,526	879	19,388	7,873	78,159	543,936
Nebraska	24,411	13,215	6,832	22,135	15,178	81,771	351,798
Nevada	7,429	0	10,841	6,207	6,777	31,254	203,356
New Hampshire	338	0	1,986	2,171	3,582	8,077	86,942
New Jersey	0	0	288	270	720	1,279	23,020
New Mexico	28,431	0	11,434	14,692	10,971	65,528	418,323
New York	8,849	0	16,940	10,266	12,867	48,922	449,329
North Carolina	12,213	0	31,498	31,218	6,540	81,469	511,769
North Dakota	27,905	0	986	32,255	19,756	80,903	382,672
Northern Mariana Islands	0	0	337	0	479	816	25,702
Ohio	10,539	0	13,603	12,749	4,691	41,582	268,729
Oklahoma	58,860	0	2,582	46,465	15,722	123,629	799,353
Oregon	25,377	0	19,848	18,440	8,585	72,250	530,662
Pennsylvania	2,494	0	23,013	33,960	6,048	65,514	396,045
Puerto Rico	136	0	0	123,185	0	123,321	1,100,869
Rhode Island	0	0	35	0	0	35	361
South Carolina	28,064	0	12,113	36,204	5,514	81,895	578,961
South Dakota	37,942	3,278	39	30,139	18,073	89,471	387,526
Tennessee	14,051	0	9,670	21,912	6,180	51,814	395,464
Texas	103,622	0	48,393	59,783	18,926	230,723	1,634,010
Utah	8,039	0	2,531	9,770	3,834	24,174	160,806
Vermont	7,674	10,088	2,428	6,463	4,185	30,838	223,764
Virgin Islands	10,744	0	0	14,506	0	25,250	221,914
Virginia	3,921	0	62,282	7,762	5,545	79,510	521,106
Washington	25,801	0	42,196	26,682	8,083	102,763	663,451
West Virginia	16,442	27,868	20,117	2,184	3,730	70,341	548,872
Wisconsin	37,102	0	264	66,797	30,045	134,209	743,638
Wyoming	14,046	14,330	6,490	12,469	10,303	57,637	371,690
TOTAL	\$ 1,339,062	\$ 357,514	\$ 681,247	\$ 1,270,295	\$ 448,203	\$ 4,096,321	\$ 25,949,096

Note: See note on page 38 under Calendar Year. Numbers may not add due to rounding.

HIGH COST PROGRAM - DISBURSEMENTS BY RURAL/Non-RURAL, 2006 - UNAUDITED *(in thousands)*

State	Total Rural	Total Non-Rural	Total 2006
Alabama	\$ 49,053	\$ 66,918	\$ 115,971
Alaska	120,861	32,725	153,586
American Samoa	1,912	825	2,736
Arizona	65,310	17,706	83,015
Arkansas	113,999	18,507	132,506
California	67,938	38,120	106,058
Colorado	56,407	23,132	79,538
Connecticut	1,572	576	2,148
Delaware	0	261	261
District of Columbia	0	0	0
Florida	42,245	39,361	81,607
Georgia	82,987	24,731	107,717
Guam	12,848	3,857	16,705
Hawaii	31,198	9,598	40,797
Idaho	52,130	0	52,130
Illinois	57,921	9,848	67,769
Indiana	40,351	23,106	63,457
Iowa	86,542	19,083	105,625
Kansas	170,735	19,456	190,190
Kentucky	55,745	43,362	99,107
Louisiana	104,034	22,949	126,983
Maine	28,790	8,160	36,951
Maryland	1,988	2,559	4,547
Massachusetts	1,022	1,805	2,827
Michigan	52,530	6,408	58,938
Minnesota	102,986	16,908	119,894
Mississippi	47,544	228,490	276,033
Missouri	81,295	4,795	86,089
Montana	52,257	25,902	78,159
Nebraska	57,471	24,300	81,771
Nevada	21,949	9,304	31,254
New Hampshire	6,081	1,996	8,077
New Jersey	1,279	0	1,279
New Mexico	56,665	8,864	65,528
New York	38,814	10,108	48,922
North Carolina	53,994	27,476	81,469
North Dakota	64,869	16,034	80,903
Northern Mariana Islands	734	81	816
Ohio	34,210	7,373	41,582
Oklahoma	116,333	7,297	123,629
Oregon	52,302	19,948	72,250
Pennsylvania	51,701	13,813	65,514
Puerto Rico	0	123,321	123,321
Rhode Island	0	35	35
South Carolina	71,936	9,959	81,895
South Dakota	75,826	13,645	89,471
Tennessee	43,998	7,815	51,814
Texas	190,705	40,018	230,723
Utah	22,726	1,448	24,174
Vermont	17,124	13,714	30,838
Virgin Islands	25,250	0	25,250
Virginia	27,186	52,325	79,510
Washington	55,049	47,714	102,763
West Virginia	30,754	39,587	70,341
Wisconsin	106,808	27,400	134,209
Wyoming	33,329	24,309	57,637
TOTAL	\$ 2,839,292	\$ 1,257,030	\$ 4,096,321

Note: Numbers may not add due to rounding.

HIGH COST PROGRAM • DISBURSEMENTS BY INCUMBENT V. COMPETITIVE ETC, 2006 • UNAUDITED *(in thousands)*

State	Incumbent ETC	Competitive ETC	Total 2006
Alabama	\$ 99,577	\$ 16,394	\$ 115,971
Alaska	98,115	55,471	153,586
American Samoa	1,308	1,428	2,736
Arizona	67,143	15,872	83,015
Arkansas	101,917	30,589	132,506
California	105,001	1,056	106,058
Colorado	71,033	8,505	79,538
Connecticut	2,148	0	2,148
Delaware	261	0	261
District of Columbia	0	0	0
Florida	72,188	9,419	81,607
Georgia	99,093	8,625	107,717
Guam	9,360	7,345	16,705
Hawaii	22,582	18,214	40,797
Idaho	52,130	0	52,130
Illinois	67,768	1	67,769
Indiana	57,897	5,560	63,457
Iowa	63,386	42,239	105,625
Kansas	135,354	54,836	190,190
Kentucky	73,438	25,669	99,107
Louisiana	85,110	41,873	126,983
Maine	23,752	13,199	36,951
Maryland	4,544	3	4,547
Massachusetts	2,827	0	2,827
Michigan	43,794	15,144	58,938
Minnesota	79,602	40,292	119,894
Mississippi	136,387	139,647	276,033
Missouri	85,966	123	86,089
Montana	66,634	11,525	78,159
Nebraska	58,280	23,492	81,771
Nevada	24,927	6,327	31,254
New Hampshire	7,820	257	8,077
New Jersey	1,279	0	1,279
New Mexico	50,313	15,215	65,528
New York	45,613	3,309	48,922
North Carolina	74,033	7,437	81,469
North Dakota	41,368	39,535	80,903
Northern Mariana Islands	590	226	816
Ohio	41,582	0	41,582
Oklahoma	107,000	16,630	123,629
Oregon	62,298	9,952	72,250
Pennsylvania	64,023	1,491	65,514
Puerto Rico	29,461	93,860	123,321
Rhode Island	35	0	35
South Carolina	81,895	0	81,895
South Dakota	60,090	29,381	89,471
Tennessee	50,320	1,494	51,814
Texas	206,078	24,646	230,723
Utah	23,912	262	24,174
Vermont	24,958	5,880	30,838
Virgin Islands	25,250	0	25,250
Virginia	65,675	13,836	79,510
Washington	58,928	43,835	102,763
West Virginia	59,664	10,677	70,341
Wisconsin	83,013	51,196	134,209
Wyoming	39,687	17,950	57,637
TOTAL	\$3,116,405	\$979,916	\$ 4,096,321

Note: Numbers may not add due to rounding.

LOW INCOME PROGRAM • DISBURSEMENTS BY COMPONENT, 2006 • UNAUDITED

(in thousands)

State	Lifeline*	Link Up*	Toll Limitation Service**	Total 2006	Total 1998-12/31/06
Alabama	\$ 4,128	\$ 70	\$ 5	\$ 4,203	\$ 23,623
Alaska	12,070	304	67	12,442	31,983
American Samoa	55	1	0	56	491
Arizona	21,595	212	69	21,875	100,450
Arkansas	2,582	153	6	2,742	12,857
California	273,530	14,981	3,832	292,343	2,652,851
Colorado	3,320	18	8	3,346	26,984
Connecticut	4,926	120	2	5,048	45,592
Delaware	240	6	0	246	1,621
District of Columbia	922	5	0	927	8,928
Florida	17,166	508	78	17,752	133,840
Georgia	8,807	240	33	9,080	66,967
Guam	339	17	0	356	2,474
Hawaii	596	9	0	605	8,857
Idaho	3,946	24	13	3,982	24,244
Illinois	8,519	947	37	9,503	63,658
Indiana	5,335	533	56	5,924	32,262
Iowa	6,185	261	401	6,847	25,402
Kansas	3,005	60	53	3,117	14,693
Kentucky	7,689	226	112	8,027	45,732
Louisiana	10,520	75	3	10,598	22,764
Maine	8,231	333	13	8,577	74,749
Maryland	496	16	0	512	3,932
Massachusetts	13,028	16	1	13,045	137,013
Michigan	12,289	1,858	640	14,787	105,647
Minnesota	6,928	437	419	7,783	41,993
Mississippi	5,187	134	6	5,327	22,719
Missouri	6,603	154	147	6,905	29,145
Montana	3,630	46	14	3,690	16,115
Nebraska	2,474	34	12	2,520	14,747
Nevada	3,647	85	7	3,738	24,817
New Hampshire	615	3	0	618	4,789
New Jersey	14,364	118	3	14,485	65,293
New Mexico	13,102	205	106	13,413	56,535
New York	41,906	717	14	42,636	460,724
North Carolina	14,555	137	(6)	14,685	87,467
North Dakota	4,073	173	16	4,261	20,070
Northern Mariana Islands	78	9	0	87	490
Ohio	33,324	831	281	34,436	207,233
Oklahoma	40,527	2,090	372	42,990	133,330
Oregon	6,129	157	139	6,425	39,701
Pennsylvania	13,213	1,006	3	14,222	89,011
Puerto Rico	13,447	437	0	13,883	60,011
Rhode Island	4,025	7	2	4,033	40,096
South Carolina	3,060	70	15	3,145	21,509
South Dakota	7,461	278	147	7,886	31,260
Tennessee	6,288	97	12	6,396	42,362
Texas	68,452	2,662	606	71,720	404,434
Utah	3,474	43	50	3,567	20,701
Vermont	2,937	14	3	2,954	25,637
Virgin Islands	57	0	0	58	355
Virginia	2,210	77	2	2,290	19,415
Washington	16,977	1,266	879	19,122	106,886
West Virginia	682	24	1	707	4,733
Wisconsin	8,390	640	109	9,139	59,638
Wyoming	1,082	61	152	1,295	4,549
TOTAL	\$ 778,417	\$ 33,002	\$ 8,940	\$ 820,359	\$ 5,823,382

*Lifeline and Link Up support include Hurricane Katrina relief support disbursed in 2006.

**Negative amounts result from over-claimed support and projected amounts exceeding support claims. Note: Numbers may not add due to rounding.

LOW INCOME PROGRAM • DISBURSEMENTS BY INCUMBENT V. COMPETITIVE ETC, 2006 • UNAUDITED *(in thousands)*

State	Incumbent ETC	Competitive ETC	Total 2006
Alabama	\$ 4,009	\$ 194	\$ 4,203
Alaska	3,556	8,885	12,442
American Samoa	56	0	56
Arizona	4,802	17,073	21,875
Arkansas	2,741	0	2,742
California	284,949	7,394	292,343
Colorado	3,344	2	3,346
Connecticut	5,048	0	5,048
Delaware	246	0	246
District of Columbia	927	0	927
Florida	17,509	243	17,752
Georgia	9,078	2	9,080
Guam	356	0	356
Hawaii	605	0	605
Idaho	3,791	191	3,982
Illinois	8,688	815	9,503
Indiana	5,922	2	5,924
Iowa	4,892	1,955	6,847
Kansas	2,652	465	3,117
Kentucky	7,648	378	8,027
Louisiana	10,596	2	10,598
Maine	8,474	104	8,577
Maryland	512	0	512
Massachusetts	13,045	0	13,045
Michigan	11,823	2,964	14,787
Minnesota	6,008	1,775	7,783
Mississippi	4,788	539	5,327
Missouri	5,713	1,192	6,905
Montana	2,629	1,061	3,690
Nebraska	2,055	465	2,520
Nevada	3,675	63	3,738
New Hampshire	617	0	618
New Jersey	14,485	0	14,485
New Mexico	7,453	5,959	13,413
New York	40,053	2,583	42,636
North Carolina	14,684	1	14,685
North Dakota	2,387	1,874	4,261
Northern Mariana Islands	87	0	87
Ohio	34,436	0	34,436
Oklahoma	18,952	24,037	42,990
Oregon	5,836	589	6,425
Pennsylvania	14,182	41	14,222
Puerto Rico	13,298	586	13,883
Rhode Island	3,766	267	4,033
South Carolina	3,145	0	3,145
South Dakota	1,963	5,924	7,886
Tennessee	6,338	57	6,396
Texas	66,990	4,731	71,720
Utah	3,567	0	3,567
Vermont	2,870	84	2,954
Virgin Islands	58	0	58
Virginia	2,144	145	2,290
Washington	12,108	7,014	19,122
West Virginia	648	59	707
Wisconsin	8,562	577	9,139
Wyoming	568	727	1,295
TOTAL	\$ 719,339	\$ 101,020	\$ 820,359

Note: Numbers may not add due to rounding.

SCHOOLS AND LIBRARIES PROGRAM - COMMITMENTS AND DISBURSEMENTS, 2006 - UNAUDITED *(in thousands)*

State	FUNDING YEAR 2006		CALENDAR YEAR 2006		TOTAL PROGRAM	
	Commitments	Disbursements	Commitments	Disbursements	Commitments 1/1/98-12/31/06	Disbursements 1/1/98-12/31/06
Alabama	\$ 37,960	\$ 3,070	\$ 42,028	\$ 22,845	\$ 276,591	\$ 191,151
Alaska	16,378	3,781	19,476	19,663	132,326	97,870
American Samoa	0	0	0	0	15,069	15,072
Arizona	48,192	399	65,257	32,072	439,601	272,304
Arkansas	7,990	685	20,812	12,284	154,414	95,303
California	208,988	3,894	310,661	212,024	2,568,215	1,703,995
Colorado	17,886	1,876	21,804	21,713	157,853	105,773
Connecticut	20,482	537	35,455	22,574	226,181	163,723
Delaware	786	1	826	748	11,045	8,005
District of Columbia	1,544	13	2,130	11,050	107,469	51,212
Florida	56,750	6,472	62,617	52,923	574,038	368,263
Georgia	46,455	5,343	74,817	53,197	578,829	409,600
Guam	25	6	352	4,362	18,822	14,847
Hawaii	3,480	20	3,649	2,396	34,311	18,865
Idaho	3,565	191	4,820	3,272	37,227	23,988
Illinois	56,599	1,452	120,349	75,724	832,245	575,087
Indiana	23,664	1,893	29,824	17,684	204,169	122,836
Iowa	12,328	1,446	19,481	10,158	90,205	56,614
Kansas	13,036	1,334	14,466	12,604	114,877	77,825
Kentucky	25,215	659	37,571	18,986	300,802	187,067
Louisiana	70,364	4,888	100,344	41,463	375,425	242,201
Maine	4,881	102	7,726	6,699	50,526	34,268
Maryland	9,274	360	10,852	11,627	151,823	107,784
Massachusetts	29,869	3,472	39,254	25,069	305,680	197,514
Michigan	40,769	2,470	73,817	36,223	537,372	336,011
Minnesota	20,765	1,673	22,016	20,399	209,987	143,861
Mississippi	40,574	2,749	55,667	34,097	316,785	200,948
Missouri	19,497	1,524	31,207	28,909	351,158	254,698
Montana	3,505	736	4,318	3,275	34,189	24,729
Nebraska	7,188	894	10,365	7,108	62,513	46,190
Nevada	1,469	104	6,619	5,062	38,098	27,768
New Hampshire	2,276	92	2,501	1,432	15,886	9,521
New Jersey	38,310	1,230	56,428	34,019	435,901	284,805
New Mexico	22,567	760	36,455	49,127	343,260	204,052
New York	163,280	2,682	233,177	111,613	2,539,970	1,627,890
North Carolina	42,974	3,066	60,777	54,029	365,223	255,456
North Dakota	5,461	1,133	10,388	4,482	32,629	21,465
Northern Mariana Islands	1,067	197	1,833	1,082	9,649	6,847
Ohio	62,935	4,304	75,130	61,504	611,443	388,749
Oklahoma	34,271	4,094	52,392	31,630	348,493	234,879
Oregon	12,563	875	13,274	9,690	114,282	71,651
Pennsylvania	59,066	5,018	75,135	63,940	629,914	479,092
Puerto Rico	3,055	71	4,095	25,873	253,966	146,689
Rhode Island	4,834	235	7,489	3,793	58,970	41,809
South Carolina	25,367	425	40,852	40,193	390,292	255,620
South Dakota	7,420	305	11,183	600	42,271	20,421
Tennessee	53,547	13,074	87,550	51,578	446,002	299,718
Texas	157,526	5,030	229,180	213,749	1,967,662	1,359,594
Utah	16,325	34	19,484	14,258	92,394	52,765
Vermont	1,570	105	1,880	1,399	15,715	9,369
Virgin Islands	421	1	1,085	849	25,195	18,988
Virginia	31,256	2,170	34,479	24,314	238,493	171,598
Washington	19,305	359	28,117	13,774	198,222	128,768
West Virginia	10,515	151	13,294	8,674	80,423	44,984
Wisconsin	15,428	600	29,969	19,307	236,647	167,881
Wyoming	1,282	72	2,015	1,940	22,969	11,565
TOTAL	\$ 1,642,101	\$ 98,128	\$ 2,376,742	\$ 1,669,056	\$ 18,823,713	\$ 12,489,546

Note: Funding Year data as of 12/31/2006. Funding Year: July 1, 2006-June 30, 2007. Numbers may not add due to rounding.

SCHOOLS AND LIBRARIES PROGRAM - FUNDING YEAR 2006 STATISTICS

UNAUDITED *(in thousands)*

SCHOOLS AND LIBRARIES COMMITMENTS BY DISCOUNT BAND

Discount Band	Telecom Services	Internet Access	Internal Connections	Basic Maintenance	TOTAL	% of Total
20-29%	\$ 2,125	\$ 650	<i>Internal Connections and Basic Maintenance were only funded at the 80% level and above.</i>		\$ 2,775	0.17%
30-39%	7,528	970			8,498	0.52%
40-49%	97,760	23,939			121,699	7.41%
50-59%	96,943	27,919			124,863	7.60%
60-69%	172,831	40,075			212,906	12.97%
70-79%	226,150	86,979			313,129	19.07%
80-89%	241,684	53,218	\$ 45,891	\$ 11,089	351,882	21.43%
90%	84,856	29,319	323,522	68,651	506,348	30.84%
TOTAL	\$ 929,877	\$ 263,069	\$ 369,413	\$ 79,740	\$ 1,642,100	100.00%

SCHOOLS AND LIBRARIES COMMITMENTS BY APPLICANT TYPE

Type	Applications Funded	Commitments	% of Applications	% of Total
School/Library Consortium	691	\$ 193,425	2.23%	11.78%
School District	18,608	\$ 1,270,844	60.10%	77.39%
School	7,584	\$ 117,551	24.49%	7.16%
Library/Library Consortium	4,079	\$ 60,280	13.17%	3.67%
TOTAL	30,962	\$ 1,642,100	100.00%	100.00%

Note: Funding Year data as of 12/31/2006. Funding Year: July 1, 2006-June 30, 2007. Numbers may not add due to rounding.

RURAL HEALTH CARE PROGRAM - COMMITMENTS AND DISBURSEMENTS, 2006 - UNAUDITED *(in thousands)*

State	C O M M I T M E N T S				D I S B U R S E M E N T S	
	Funding Year 2006	Calendar Year 2006	Total 1/1/98-12/31/06		Calendar Year 2006	Total 1/1/98-12/31/06
Alabama	\$ 0	\$ 340	\$ 436		\$ 287	\$ 378
Alaska	4,873	23,831	102,158		24,188	82,414
American Samoa	0	0	0		0	0
Arizona	316	1,822	6,872		1,670	5,080
Arkansas	11	123	803		78	595
California	6	596	2,315		500	1,984
Colorado	0	132	949		140	873
Connecticut	0	0	0		0	0
Delaware	0	0	0		0	0
District of Columbia	0	0	0		0	0
Florida	49	230	1,272		141	731
Georgia	281	822	1,166		395	621
Guam	0	4	4		0	0
Hawaii	0	159	1,633		157	1,507
Idaho	0	124	752		121	606
Illinois	85	687	1,792		668	1,374
Indiana	211	406	623		130	276
Iowa	12	221	1,227		253	1,045
Kansas	21	525	2,320		193	1,576
Kentucky	15	214	2,576		349	2,347
Louisiana	0	690	727		209	240
Maine	0	57	237		13	102
Maryland	0	0	0		0	0
Massachusetts	50	87	87		37	37
Michigan	68	938	4,101		819	3,549
Minnesota	162	1,647	6,328		1,549	5,517
Mississippi	5	214	718		98	549
Missouri	61	152	634		82	484
Montana	0	529	3,382		391	3,076
Nebraska	230	1,791	5,073		1,132	4,166
Nevada	0	37	378		29	286
New Hampshire	0	5	66		7	64
New Jersey	0	0	0		0	0
New Mexico	32	446	1,871		324	1,469
New York	2	66	259		25	203
North Carolina	0	165	1,116		271	1,019
North Dakota	74	602	3,434		692	3,162
Northern Mariana Islands	0	5	5		0	0
Ohio	20	187	737		234	570
Oklahoma	6	241	738		169	550
Oregon	0	29	269		19	203
Pennsylvania	1	92	282		16	170
Puerto Rico	0	0	0		0	0
Rhode Island	0	0	0		0	0
South Carolina	16	73	200		47	166
South Dakota	545	1,375	3,463		850	2,516
Tennessee	73	252	510		196	369
Texas	0	1,102	2,341		457	877
Utah	0	883	2,655		703	1,986
Vermont	15	78	139		89	114
Virgin Islands	0	103	590		43	499
Virginia	445	795	1,761		308	1,048
Washington	3	87	520		54	420
West Virginia	30	164	558		98	338
Wisconsin	23	2,409	5,330		2,287	4,363
Wyoming	0	126	697		80	592
TOTAL	\$ 7,741	\$ 45,663	\$ 176,104		\$ 40,598	\$ 140,111

Note: Funding Year data as of 12/31/2006. Funding Year: July 1, 2006-June 30, 2007. Numbers may not add due to rounding.

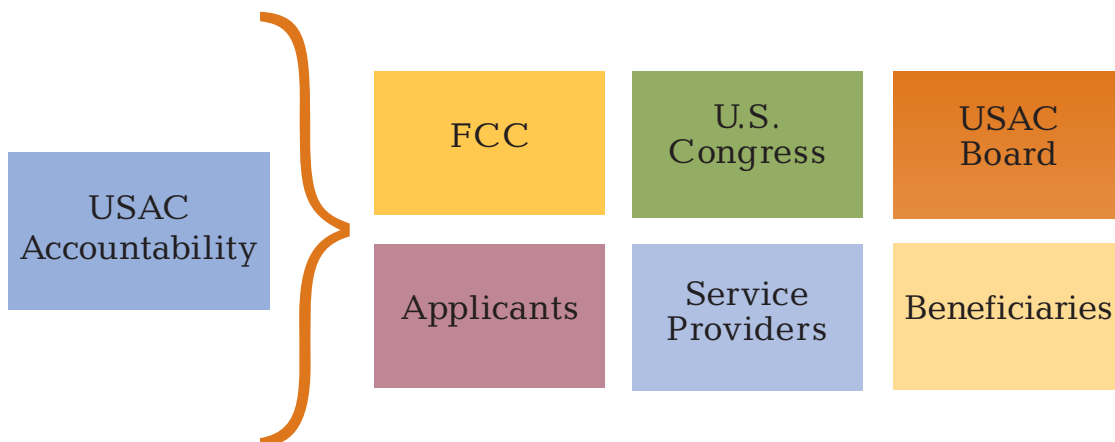
UNIVERSAL SERVICE FUND DISBURSEMENTS BY PROGRAM - CALENDAR YEAR 2006 UNAUDITED (in thousands)

State	High Cost	Low Income	Rural Health Care	Schools & Libraries	Total 2006 Disbursements	Total All Programs 1998-2006
Alabama	\$ 115,971	\$ 4,203	\$ 287	\$ 22,845	\$ 143,306	\$ 990,690
Alaska	153,586	12,442	24,188	19,663	209,878	1,026,720
American Samoa	2,736	56	0	0	2,792	26,654
Arizona	83,015	21,875	1,670	32,072	138,632	900,808
Arkansas	132,506	2,742	78	12,284	147,610	1,026,745
California	106,058	292,343	500	212,024	610,924	5,086,808
Colorado	79,538	3,346	140	21,713	104,737	721,095
Connecticut	2,148	5,048	0	22,574	29,770	223,965
Delaware	261	246	0	748	1,255	14,861
District of Columbia	0	927	0	11,050	11,977	60,140
Florida	81,607	17,752	141	52,923	152,422	1,103,282
Georgia	107,717	9,080	395	53,197	170,389	1,349,747
Guam	16,705	356	0	4,362	21,423	76,508
Hawaii	40,797	605	157	2,396	43,955	141,189
Idaho	52,130	3,982	121	3,272	59,505	450,098
Illinois	67,769	9,503	668	75,724	153,664	1,056,612
Indiana	63,457	5,924	130	17,684	87,195	536,461
Iowa	105,625	6,847	253	10,158	122,883	583,941
Kansas	190,190	3,117	193	12,604	206,104	1,068,343
Kentucky	99,107	8,027	349	18,986	126,469	716,443
Louisiana	126,983	10,598	209	41,463	179,253	1,070,390
Maine	36,951	8,577	13	6,699	52,240	367,371
Maryland	4,547	512	0	11,627	16,686	139,661
Massachusetts	2,827	13,045	37	25,069	40,978	384,783
Michigan	58,938	14,787	819	36,223	110,767	846,059
Minnesota	119,894	7,783	1,549	20,399	149,626	845,406
Mississippi	276,033	5,327	98	34,097	315,556	1,567,032
Missouri	86,089	6,905	82	28,909	121,985	963,225
Montana	78,159	3,690	391	3,275	85,515	587,855
Nebraska	81,771	2,520	1,132	7,108	92,532	416,901
Nevada	31,254	3,738	29	5,062	40,083	256,227
New Hampshire	8,077	618	7	1,432	10,134	101,315
New Jersey	1,279	14,485	0	34,019	49,783	373,117
New Mexico	65,528	13,413	324	49,127	128,392	680,380
New York	48,922	42,636	25	111,613	203,196	2,538,148
North Carolina	81,469	14,685	271	54,029	150,455	855,724
North Dakota	80,903	4,261	692	4,482	90,338	427,370
Northern Mariana Islands	816	87	0	1,082	1,984	33,039
Ohio	41,582	34,436	234	61,504	137,757	865,281
Oklahoma	123,629	42,990	169	31,630	198,418	1,168,110
Oregon	72,250	6,425	19	9,690	88,384	642,221
Pennsylvania	65,514	14,222	16	63,940	143,692	964,317
Puerto Rico	123,321	13,883	0	25,873	163,078	1,307,569
Rhode Island	35	4,033	0	3,793	7,861	82,266
South Carolina	81,895	3,145	47	40,193	125,280	856,257
South Dakota	89,471	7,886	850	600	98,808	441,723
Tennessee	51,814	6,396	196	51,578	109,983	737,916
Texas	230,723	71,720	457	213,749	516,649	3,398,915
Utah	24,174	3,567	703	14,258	42,701	236,258
Vermont	30,838	2,954	89	1,399	35,280	258,884
Virgin Islands	25,250	58	43	849	26,199	241,756
Virginia	79,510	2,290	308	24,314	106,421	713,167
Washington	102,763	19,122	54	13,774	135,713	899,525
West Virginia	70,341	707	98	8,674	79,821	598,928
Wisconsin	134,209	9,139	2,287	19,307	164,942	975,518
Wyoming	57,637	1,295	80	1,940	60,952	388,396
TOTAL BY PROGRAM	\$ 4,096,321	\$ 820,359	\$ 40,598	\$ 1,669,056	\$ 6,626,333	\$ 44,402,119

Note: Numbers may not add due to rounding.

USAC ACCOUNTABILITY

- *The FCC provides direct oversight of USAC's activities and performance pursuant to federal regulations. The FCC and USAC maintain a close working partnership with a focus on integrity and service.*
- *Congress established the framework for universal service in the Telecommunications Act of 1996. USAC responds to all congressional inquiries and provides testimony as requested.*
- *USAC's 19-member Board of Directors governs the company's day-to-day operations. The Board approves budgets for the four support programs and provides oversight, direction, and advice to USAC staff.*
- *Program applicants seek USF support from the Rural Health Care and Schools and Libraries programs. USAC's objective is to process applications efficiently while protecting the integrity of the process. Applicant input is valuable to improve programs.*
- *Service providers—whether a small rural telecom company, an Internet service provider, or a national service provider—are the recipients of USF support, which ultimately benefits the applicants and beneficiaries.*
- *Beneficiaries include schools, libraries, rural health care centers, low-income consumers, and people living in high-cost areas.*



2006 BOARD OF DIRECTORS

USAC's Board of Directors is selected by the Chairman of the FCC. Board members represent the telecommunications and information services industry, state telecommunications regulators, consumer advocates, low-income consumers, rural health care providers, schools, and libraries. The USAC Board of Directors has five standing committees: Audit Committee, Executive Committee, High Cost and Low Income Committee, Rural Health Care Committee, and Schools and Libraries Committee.

USAC is required to disclose Board member expenses for events other than attendance at USAC Board meetings. During 2006, there were no expenses incurred for Board members other than travel to USAC Board meetings.

To learn more about USAC's Board of Directors, go to www.usac.org/about/governance/board-directors.

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THE UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
(USAC) administers the Universal Service Fund (USF),
which provides communities across the country with
affordable access to telecommunications services.

